GenTwo

GLOBAL AMC SUMMIT 2026 · FINAL REPORT

Modern perspectives on actively managed certificates.

Learnings from the GenTwo Global AMC Summit 2026 — eight sessions, fourteen visualisations, one synthesis of where the Actively Managed Certificate stands today and where it is going next.

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CHAPTER 01

The New Architecture of Active Management

INTRODUCTION · SYNTHESIS 10 MIN READ

The Actively Managed Certificate (AMC) has become one of the fastest-growing categories in the global structured products market. As this report shows, the AMC market has grown to an estimated 1.5 trillion US dollars in assets under management — at least by some measures. It has also expanded from its origins in Swiss private banking into a global instrument available across asset classes, jurisdictions, and investor types that its earliest practitioners could not have predicted. Over that time its core value proposition has remained consistent: it is the most efficient way to turn an active investment strategy into a distributable, investible product.

Understanding the AMC properly rewards more than a cursory look. Its legal structure is simple; its capabilities are not. The range of what can go inside an AMC, the ways it can be structured, the markets it can access, and the investors it can serve have all expanded considerably as the infrastructure around it has matured.

Bringing that picture into sharper focus was the purpose of the inaugural GenTwo Global AMC Summit, held between April 13 and 17, 2026. The Summit brought together legal authorities, market researchers, structuring specialists, regional practitioners, digital asset pioneers, and infrastructure builders to cover the full landscape: what these instruments are, how they work, where they are being used, and where the market is heading.

This report is drawn from the Summit. Each of the chapters below is a summary of one of the sessions, focused on key messages and learnings.

01·01

What is an AMC?

As we learn below, an Actively Managed Certificate is, legally, a debt security — a bond, issued by a bank, a securities dealer, or a special purpose vehicle (SPV). It can be held in a standard custody account alongside equities and bonds, clears through standard settlement infrastructure, and in all of these respects resembles any other structured product.

What distinguishes it is what sits inside. Rather than a fixed reference asset or index, an AMC holds a dynamic portfolio — a basket of assets that a designated strategy manager can actively rebalance over the product's lifetime. The manager can buy, sell, add new positions, and adjust allocations according to their investment judgment, within parameters established at inception and laid out in the term sheet. The certificate is the legal wrapper. The active strategy is what the investor is buying exposure to.

The result is a product that behaves, economically, like an investment fund, but is not one. That distinction is the product's defining characteristic, and its consequences are substantial.

A regulated investment fund is a collective investment scheme. It requires regulatory authorization, a management company, a custodian bank, and ongoing reporting to a fund supervisor. Depending on jurisdiction, launching a fund takes months and carries fixed costs that only become economical at meaningful scale — typically $50 million in assets under management or above. Below that threshold, the cost structure is punishing.

An AMC, on the other hand, can be brought to market in days or weeks. No fund license is required. Ongoing compliance obligations are a fraction of what a fund demands. According to one of the Summit's experts, for strategies under $100 million in AUM, the cost savings can reach 60–70% over the life of the product compared to an equivalent fund structure.

01·02

What can go in an AMC?

The simplest description of what an AMC can hold is: almost anything. Listed equities, bonds, ETFs, and futures are the foundation — the liquid, exchange-traded assets the product was originally built on. The SPV model that now drives a fair share of professional issuance carries no balance-sheet constraints, which means it is not limited to what a bank's risk department is willing to carry. Private equity, private debt, real estate, and infrastructure have become mainstream AMC underlyings. Digital assets and cryptocurrency strategies — from simple tracker exposures to complex approaches incorporating staking, DeFi protocol exposure, and derivatives overlays — are a growing and increasingly sophisticated category. At the outer edge, practitioners have structured art, wine, luxury watches, timber, carbon credits, and pre-IPO positions into AMC form; the practical ceiling is less about what the structure can hold and more about whether the valuation, custody, and due diligence requirements for a given asset can be met.

The strategies that go inside are equally varied. Thematic and systematic approaches, along with multi-asset and hybrid structures combining public market liquidity with private market exposures in a single security, are becoming more common as the infrastructure for managing illiquid components matures. Cross-asset strategies incorporating digital assets alongside traditional instruments are growing fast. And the reach of the product has extended well beyond Switzerland. As this report shows, AMCs now serve offshore wealth management needs across Latin America, are used by family offices and external asset managers across Europe and Asia to build proprietary product capabilities, and are increasingly appearing in markets where the combination of regulatory flexibility, tax advantages, and the need to make locally difficult-to-access assets internationally distributable makes the structure particularly well-suited.

The democratization of the structure has also progressed. Where AMC issuance was once the preserve of established banks and their affiliated managers, the platform model has opened it to independent asset managers, boutique firms, and first-time issuers. Some Swiss platforms now enable retail access at minimum investment thresholds as low as CHF 1,000. A manager with a compelling strategy, a track record, and a modest initial investor base can have a regulated, ISIN-bearing product in the market within weeks — a path to scale that would have required months of regulatory preparation and significant legal overhead just a decade ago.

What this adds up to is a structure whose range of application continues to expand in ways that are not yet fully mapped. The sessions in this report explore several of the most significant areas in depth — digital assets, private markets, the Americas, the infrastructure layer. The overall picture they suggest is that the AMC's most interesting applications may not yet exist.

01·03

What this report covers

The sessions that form this report were designed to take a reader from first principles through to the frontier, across the mechanics, the market, the applications, and the infrastructure. For this report, we have organized the sections as follows.

AMC Foundations — Luca Bianchi, Partner, Kellerhals Carrard. The technical and legal basis of the product in detail: what an AMC is, how it differs from a fund, the on-balance-sheet versus off-balance-sheet distinction, and what an expanding asset universe means for practitioners today.

The AMC Market — Pablo Conde, Director of Content, SRP. The industry as it actually exists: the definitions problem that makes the market hard to measure, the competitive shift from product design to infrastructure, and the three-year outlook.

AMCs and the American Markets — Fernando Concha, Luma Financial Technologies. The current structural barriers in the US for AMCs, the surging demand across Latin America, and what the product looks like in practice in a region moving fast.

AMCs and Digital Assets — Dominic Lohberger, Sygnum, and Florian Marty, GenTwo Digital. How digital asset strategies are structured inside AMCs, what institutional-grade operational architecture looks like in a post-FTX world, and where AI agents and blockchain-native infrastructure are taking the market.

Launching an AMC: The Asset Manager's Perspective — Fabio Oertle, ISP Group. The full picture from a practitioner who has overseen more than 2,500 product launches: who the AMC is for, what the launch process involves, and what the exotic end of the asset universe actually requires.

Under the Hood — Matthew McShane and Pierric Tsien, GenTwo. A technical masterclass anchored by a hybrid AMC case study combining private equity, private debt, and liquid assets — including the legal mechanics of private equity direct investments and what typically goes wrong.

Building the Rails — Lukas Sitar and Melanie Glöckler, GenTwo. The evolution of the market's discovery and execution infrastructure: how the AMC Creator was built, what real user behavior revealed about what practitioners need, and what the path to end-to-end execution looks like from here.

Together they cover a market that is moving fast and, increasingly, in plain sight.

CHAPTER 02

Foundations: Understanding Actively Managed Certificates

LUCA BIANCHI · KELLERHALS CARRARD 12 MIN READ

In 2008, Luca Bianchi was an intern at Lehman Brothers in Zurich when the bank collapsed. He went on to become one of Switzerland's foremost legal experts on Actively Managed Certificates — and in the first session of the AMC Summit, he traced the full arc of the product: from its precarious early days, when Switzerland's regulator nearly classified it out of existence, to the $1–2 trillion global market it has become. For anyone coming to AMCs fresh, this session is the foundation — what the product actually is, why its legal structure matters, how off-balance-sheet issuance changed the economics, and what an expanding universe of underlyings means for asset managers today.

Luca Bianchi is a Partner at Kellerhals Carrard, where he heads the banking and finance practice group.



WATCH THE SESSION

Foundations: Understanding Actively Managed Certificates

youtu.be/-h3z-UnRfvY

02·01

From Lehman to the rise of the AMC

Luca Bianchi's introduction to structured products was unplanned. In 2008 he was doing an internship at Lehman Brothers in Zurich in equity derivatives sales when the bank collapsed. He found a position at a law firm, and as the junior guy who knew something about structured products, he was assigned the structured products brief. That is where his career started.

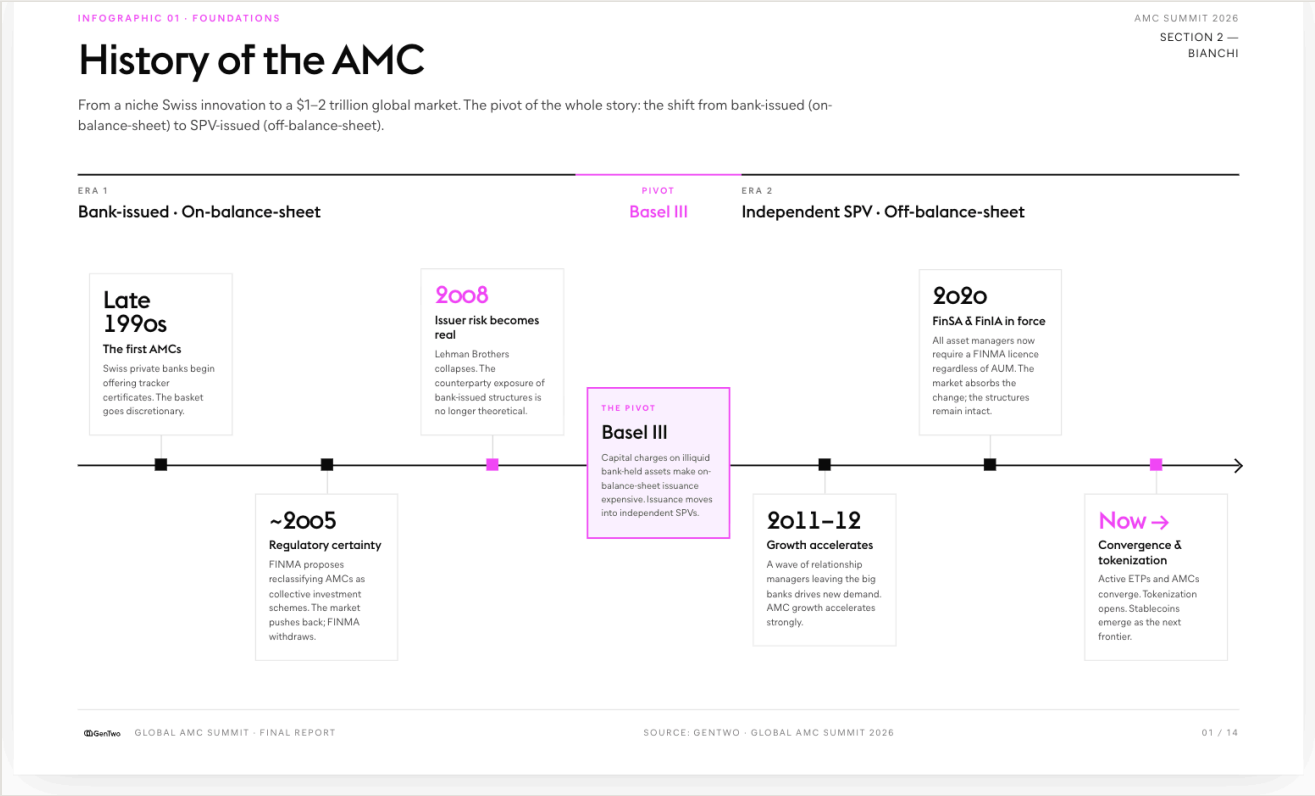
When Bianchi began advising in this area, the market was quiet. After the financial crisis, for a few years, things were pretty dead. Then, around 2011 and 2012, he began to see a really strong increase in what he describes as "these new kinds of AMC products." Something had changed.

The driver, he explains, was a wave of relationship managers leaving the big banks. Unable to negotiate higher salaries, they were walking out and taking loyal clients with them. Many found themselves managing somewhere between one and fifty million francs in AUM — too large to leave on the table as a business, but

not large enough for a regulated fund to make economic sense. They needed a product wrapper. At the time, the regulatory threshold for asset managers was below one hundred million AUM, which meant you could start your business outside a bank without a license. The AMC was a natural fit.

The regulatory backstory is older than Bianchi's career. Before his time — around 2005, he says — FINMA issued a position paper concluding that products of this kind qualified as collective investment schemes, which would have subjected them to full fund regulation. The products were already in the market. The market disagreed, and the pressure on FINMA was significant enough that it eventually withdrew its position. Bianchi calls what followed "a new era" — regulatory certainty had arrived, and the number of AMCs being issued grew rapidly.

Two further shifts added momentum. Basel III made it expensive for banks to hold certain assets on their balance sheets — illiquid assets in particular — which pushed more issuance toward independent vehicles. And when Switzerland's new Financial Institutions Act came into force in 2020, requiring all asset managers to hold a FINMA license regardless of AUM, the market absorbed the change. The structures themselves remained intact.



02·02

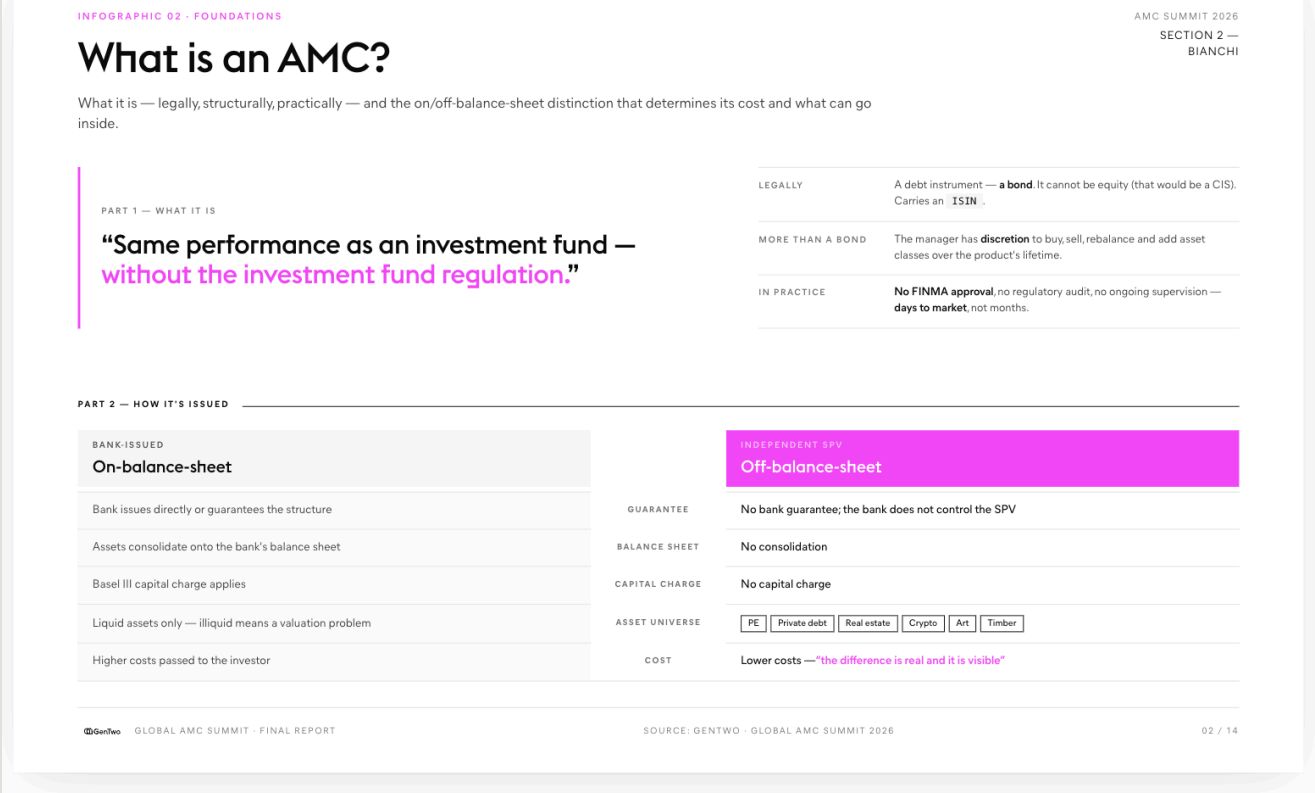
What an AMC actually is

Asked to explain in plain terms what an AMC is, Bianchi starts with the legal answer: it is a debt instrument — like a bond. You cannot issue equity as an AMC; that would likely be classified as a collective investment scheme. A debt issuance with an underlying and standard market documentation typically qualifies as a structured product.

What makes an AMC more than a bond or a regular structured product is the active element. The manager has discretion to change what is inside the underlying portfolio over time — buying, selling, rebalancing.

> **Economically, it gives you the same performance as an investment fund without the investment fund regulation.**
>
> LUCA BIANCHI

That gap is the product's defining characteristic. The practical consequences are significant. If the issuance infrastructure is already in place, an AMC can be brought to market almost immediately. No FINMA approval is required. There is no ongoing regulatory supervision, no annual regulatory reporting, no regulatory audit. Where a public offer requires a prospectus, the process takes weeks, not the months required to launch a fund.



02·03

What goes inside — and how the economics work

Bianchi describes the evolution of AMC underlyings in terms of generations. The first is the bank-issued, on-balance-sheet product with liquid underlyings like listed equities. The second — the model that companies like GenTwo are built on — is issuance through an independent SPV, without a bank guarantee. Beyond that, he sees tokenized AMCs and an expanding universe of underlyings as the next stages of development.

In the early period, bank-issued AMCs held almost exclusively liquid assets. The reason is straightforward: with illiquid underlyings you do not have a market price, you have a valuation. If that valuation is revised, a product can in extreme circumstances drop thirty percent in value from one day to the next. That is not a

conversation wealth managers want to have with their clients. Outside of banks, the picture is different. Specialist asset managers work with clients who seek exposure to specific asset classes, understand the risks, and want access to things they cannot get elsewhere. Private debt, real estate, crypto, algorithmic trading strategies — even art and timber — now appear as AMC underlyings. Alternative assets have been, in Bianchi's words, "one of the biggest mega-trends of the last ten years, for sure."

The on-balance-sheet versus off-balance-sheet question comes down to cost. When a bank issues directly, it carries capital charges under Basel III — charges that are particularly significant for illiquid or alternative assets. Those costs end up with the investor, or the bank declines to offer the product at all. When an independent SPV issues the same product — no bank guarantee, and the bank does not control the SPV — there is no consolidation and no capital charge. On some platforms, Bianchi notes, investors can see the same product offered two ways and compare the prices directly. The difference is real and it is visible.

Bianchi's first question when a prospective issuer calls is always about investor domicile. That determines the regulatory framework. EU investors bring additional requirements; Liechtenstein can serve as an alternative approval route for European distribution. The choice of SPV jurisdiction — Switzerland, Luxembourg, or lighter-touch options such as Guernsey, Jersey or the Cayman Islands — follows from there, and all are valid depending on the asset class, investor base, and tax considerations.

On size, his advice is practical. The AMC holds its clearest advantage over a fund in the one-to-fifty-million AUM range. For an asset manager at the lower end of that range, the recommendation is to use an established issuance platform rather than build infrastructure from scratch. The economics of a proprietary setup only make sense if there are sufficient AUM or the goal is to scale an issuance business or to build something that may eventually be sold. For retail distribution — which Bianchi sees growing, particularly in crypto and thematic products — the requirements are achievable: a FinSA-compliant prospectus approved by a review body, a Key Information Document, an offer made by a financial intermediary pursuant to the Banking Act, Financial Institutions Act or Collective Investment Schemes Act, and collateralization of the product.

02·04

Where the market is heading

Bianchi raised the convergence between AMCs and ETPs. ETPs were historically passive products; they now also exist in active form. An active ETP and an AMC are, in his view, economically the same thing — the overlap has become so pronounced in some cases that the two structures are no longer clearly distinguishable. "You could even call the active ETP an AMC," he says.

When it comes to tokenization of AMCs, Bianchi says the regulatory situation is fairly clear these days. The issuance documentation for a tokenized AMC is largely the same as for a conventional one, with additional risk factors and wording to accommodate DLT securities. The bottleneck, in his experience, is operational: wallet infrastructure that works for both issuer and investor, and the limited ability of many banks to distribute tokenized products through their existing systems. The legal innovation, he suggests, has run ahead of the operations.

Looking further ahead, he singles out stablecoins as an interesting near-term opportunity. SIX Swiss Exchange is not yet fully comfortable with stablecoins as an underlying for listed products, but for unlisted AMCs the route is already open. "You have a strategy," Bianchi notes, "that investors simply won't be able to access without that wrapper." The logic is the same logic that drove the AMC's original rise: a new asset class, investors who cannot access it directly, and a flexible instrument well-positioned to bridge the gap.

CHAPTER 03

The AMC Market in 2026: What the data says

PABLO CONDE · SRP 11 MIN READ

SRP has been the structured products industry's leading data and content provider for over twenty years. When it published its first dedicated report on the AMC market in 2026, that decision was itself a signal: a product that had been growing quietly in the background for two decades had finally reached the scale and complexity to demand its own coverage. In the AMC Summit's market session, SRP's Pablo Conde walked through what the research found — and what it couldn't find. The session covers the definitions problem that makes the market almost impossible to measure, the structural shift from product design to infrastructure as the new competitive frontier, the expanding universe of strategies AMCs now carry, and where Conde and his team think the market will be in three years.

Pablo Conde is Director of Content at SRP.

WATCH THE SESSION

The AMC Market in 2026: What the Data Says

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03·01

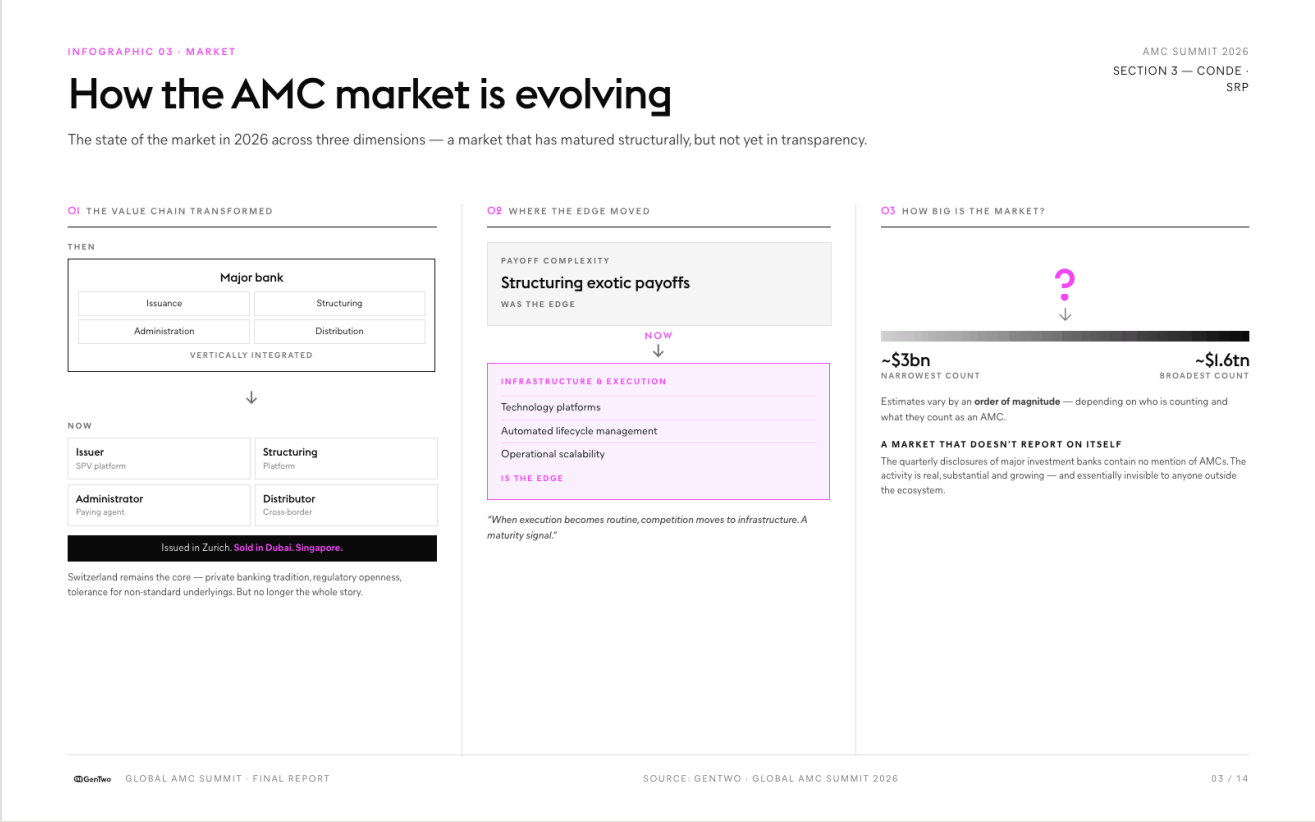
A market that doesn't report on itself

Pablo Conde is in charge of content for the structured products industry's leading data and content provider, and the researcher behind its first dedicated report on the AMC market. That puts him in a unique position to comment on the state of the AMC industry — no mean feat.

As Conde describes it, SRP's goal was to shed light on what has to date been a rather hidden and fragmented part of the structured products universe. AMCs are not a new product — they have been circulating in Swiss private banking for two decades — but the last four or five years have brought increased activity, new players, and a generation of fintech companies entering the space. Nobody had yet tried to map it comprehensively, and the reason, Conde says, is that mapping it is genuinely difficult.

The challenge starts with size. Estimates of the global AMC market range, according to Conde, from roughly $1.6 trillion at the top end down to figures an order of magnitude smaller, depending on who is counting and what they are counting. Conde is clear that this variance is not primarily a measurement problem. It is a definitions problem — and the definitions problem is itself one of the most revealing things about where the market currently stands.

Different participants use the word "AMC" to describe meaningfully different products. Some count only listed, actively managed certificates. Others extend the definition to structured notes with discretionary overlays, or to platform-based wrapper solutions. In Germany, equivalent products are sometimes called actively managed products — AMPs — which widens the universe further. The result is that participants across the value chain are often, in effect, talking about different markets while using the same word.



03·02

What the opacity costs

Beneath the definitions problem lies something more structural: the AMC market generates almost no public reporting. The quarterly earnings disclosures of the major investment banks' equity derivatives divisions contain no mention of AMCs. The activity is real, substantial, and growing — and essentially invisible to anyone outside the ecosystem.

Conde says the transparency question produces a particular dynamic in interviews. On the record, sources tend to be guarded. Off the record, the conversations are more direct: practitioners are adamant that the industry needs to be more transparent, and that the current fragmentation will eventually create a problem.

> **The off-the-record view is clearly that more upfront disclosure around AMCs is needed. It will just take time for everyone to align on that.**
>
> PABLO CONDE

The history of structured products offers a cautionary reference. Regulators don't like opacity, and lack of transparency has been used before to cast a bad light on markets that might otherwise have developed cleaner reputations. Practitioners in the AMC space appear to understand the risk — the question is how long alignment takes.

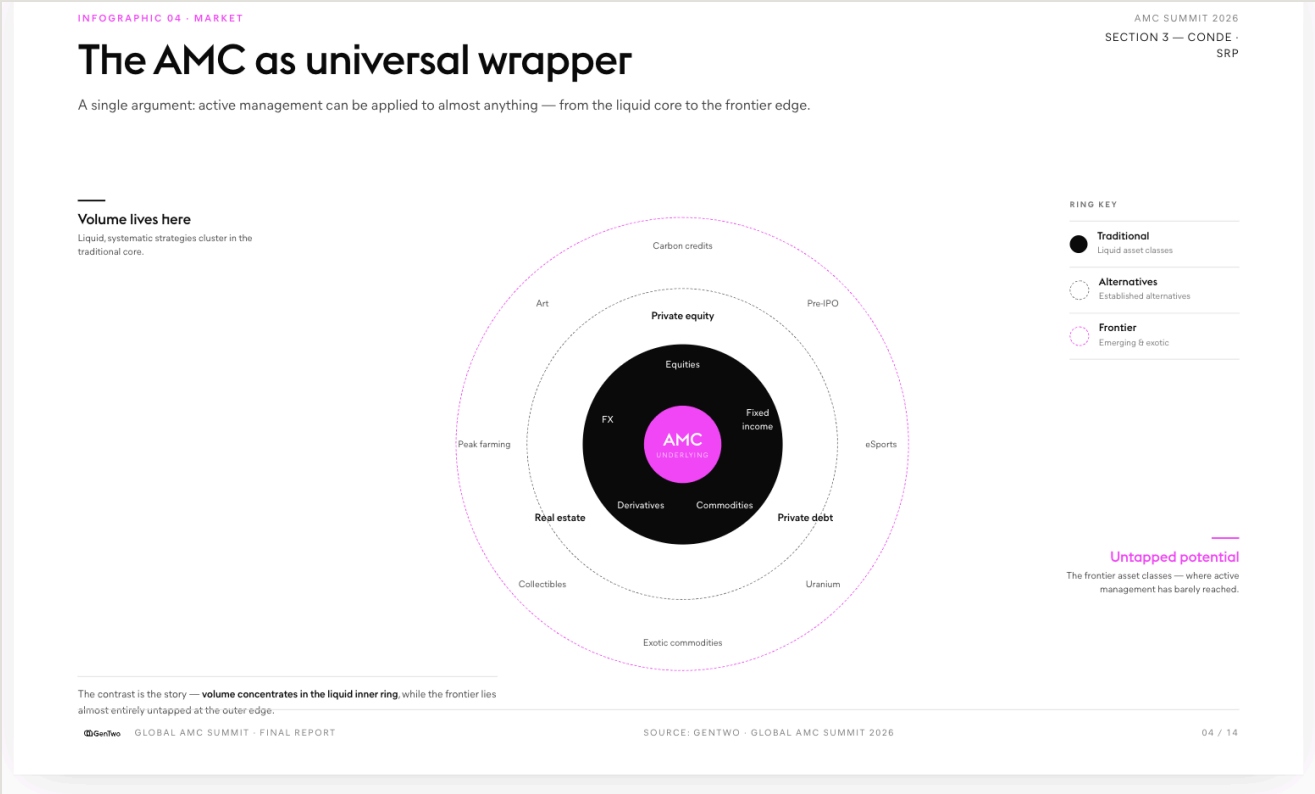
03·03

From private bank to ecosystem

Whatever the precise scale of the market, its composition is not in dispute. The AMC has moved well beyond its origins in Swiss private banking. SRP's research reached global investment banks, regional issuers, independent structuring platforms, index firms, technology providers, and distribution specialists across multiple continents. Switzerland, Conde says, remains the core — its private banking tradition, regulatory openness, and tolerance for non-standard underlyings keep it at the center of the story. But it is no longer the whole story.

The structural consequence of this expansion is a disaggregation of the value chain. Where a major bank once handled issuance, structuring, administration, and distribution as a vertically integrated offering, these functions are increasingly distributed across specialists. Dedicated infrastructure platforms have lowered barriers to entry. Hybrid models are emerging, with large institutions using external platforms for specific functions while retaining core capabilities in-house.

Geography and distribution have also decoupled. A product issued in Zurich can be sold in Dubai or Singapore. Cross-border capability, Conde says, is now one of the most important things a technology platform can offer.



03·04

The competition has moved

One finding from SRP's practitioner interviews stands out above the others for what it says about the market's maturity. Across the conversations Conde conducted for the report, a consistent view emerged: structuring ever more sophisticated payoffs is no longer the primary differentiator in the AMC market.

> **There is no real competition anymore on the payoff. AMCs are becoming increasingly infrastructure-driven rather than payoff-driven.**
>
> PABLO CONDE

The edge now lies in the infrastructure behind the product: technology platforms, automated lifecycle management, real-time reporting, operational scalability. These capabilities were difficult to provide even a few years ago. They are now the primary competitive battlefield — and increasingly, Conde suggests, the baseline expectation rather than a differentiator. In most industries, that shift signals maturity. A market competes on product design when product design is hard. When it becomes routine, the competition moves to execution.

03·05

A wrapper for almost anything

What an AMC can hold has become nearly as elastic as the question of what counts as an AMC. Conde describes the breadth of strategies and asset classes SRP encountered in its research as the finding in itself, rather than any single strategy.

What began as a wrapper for simple equity strategies now encompasses cross-asset and thematic allocations, derivatives-based approaches, and strategies built around assets — private equity, private debt, real estate, carbon credits, art — that would previously have been difficult to distribute in a standardized, scalable format. SRP publishes a monthly roundup of AMC product launches; Conde notes that every month produces something unexpected. The conversation touched on eSports, peak farming, uranium, and pre-IPO structures as examples from across the industry.

> **AMCs are becoming a delivery mechanism for a much broader set of investment ideas than the original definition would suggest — ideas that would previously have been harder to distribute in a scalable or standardised way.**
>
> PABLO CONDE

The fastest growth in SRP's data is concentrated in strategies where the AMC provides distribution efficiency: systematic equity approaches, income-oriented strategies, and index-adjacent allocations with scope for active adjustment. The exotic end generates attention; systematic strategies drive volume.

For smaller or newer managers, the AMC also functions as a proof-of-concept vehicle — a way to build a live track record with real capital at a fraction of the time and cost of a fund launch. For larger institutions, it is less a stepping stone and more a permanent channel, running alongside fund and structured product ranges rather than replacing them.

03·06

Flexibility and governance

One tension surfaces consistently in SRP's research: between the flexibility that makes AMCs attractive and the governance expectations that flexibility creates. Active management means something different from buying an ETF, and the question of how to frame that difference clearly — for investors and regulators alike — without constraining the discretion that is the product's core value, runs through almost every practitioner conversation Conde had.

The answer practitioners consistently give is not to limit flexibility but to institutionalize it. Clearer investment mandates. Well-defined guidelines around rebalancing frequency and asset scope. Strong governance structures around decision-making. Transparent product documentation that tells investors how often and under what conditions their underlying exposure may change. In that framing, flexibility and governance are not in tension — they are complementary properties of a well-designed product.

Regulatory engagement is moving in the same direction. France launched a consultation on AMC structures in 2025. Singapore is reportedly examining the product category. Conde reads this not as hostility but as regulators catching up with a market that moved faster than the frameworks around it.

> **Regulation is no longer presented as a barrier — it's more of a framework that needs to be developed and gradually improved to enable adoption as the market matures.**
>
> PABLO CONDE

The retail dimension is already moving. In Switzerland, AMCs can now be purchased for as little as a thousand francs — the product is no longer exclusively a private banking instrument. The infrastructure to support retail access — Key Information Documents, suitability frameworks — is increasingly in place across Switzerland, Germany, and parts of Europe with strong self-directed investor bases.

03·07

Tokenization: exploratory, but in the conversation

On tokenization, Conde's research produced a genuinely mixed picture — which, he notes, is itself informative about where things stand.

One camp of practitioners views tokenization as a natural extension of the trends already reshaping the market: greater automation, better transparency, and potentially fractionalised access that would bring AMC exposure to smaller investors. In this framing, it also addresses one of the longstanding criticisms of structured products — that once you are in, you are locked in for three to five years. Secondary market platforms are already emerging in the US for structured products more broadly, and lifecycle management tools could eventually change the liquidity profile of AMCs in a similar way.

The other camp is more cautious. Regulatory clarity is still developing. Distribution infrastructure on the investor side remains limited. And demand from investors themselves, rather than enthusiasm from issuers and platforms, is the precondition that practitioners say needs to be in place before the infrastructure becomes meaningful.

Conde's summary: tokenization is still largely exploratory within the AMC ecosystem. It is not yet a core driver of market structure, but it is increasingly part of the strategic conversation — particularly among technology-led platforms whose business model positions them to move early if and when conditions align.

03·08

Three years out

Conde put the three-year question to his full team, given how collectively the SRP report was produced. Their answer came in three parts.

First, technology will move from differentiator to baseline. Automated rebalancing, integrated risk monitoring, real-time reporting — what is currently described as a competitive edge will simply be expected of any AMC issuer. Second, the line between active and systematic strategies will blur further. The AMC world will absorb more quantitative and rules-based approaches, in the same way that ETFs have converged with active management. Third, the market structure will evolve toward standardization in operations and reporting while remaining productively fragmented in strategy design and distribution models.

Underpinning all three, Conde argues, is a single precondition: transparency. More consistent data, clearer definitions, and agreed reporting standards would allow the industry to demonstrate its scale, its utility, and its governance — not just to regulators, but to the allocators and distributors whose confidence the market needs to sustain its growth. A market measured in the trillions that currently produces almost no public data is not a sustainable condition. The question is not whether that changes but when.

CHAPTER 04

AMCs and the American Markets

FERNANDO CONCHA · LUMA FINANCIAL TECHNOLOGIES 11 MIN READ

Fernando Concha has spent six years building Luma's Latin American business, and he knows the offshore wealth market in the Americas as well as anyone. In this session he explains why the AMC — still largely a Swiss story in most people's minds — has become an essential tool for offshore capital in Latin America, what structural barriers keep the US on the sidelines for now, and four concrete use cases that show exactly what problem the AMC is solving for investors and managers in the region.

Fernando Concha is Global Director of Capital Markets Sales at Luma Financial Technologies.

WATCH THE SESSION

AMCs and the American Markets

youtu.be/svm0qby43Ak

04·01

A market on the move

Luma Financial Technologies is a well-known, US-based platform for the trading, management, and distribution of structured notes, derivatives, and related products. As the person who built Luma's Latin American channel from the ground up, Fernando Concha has as direct a read on demand in the Americas as anyone in the market.

As he relates, the Americas as a whole present two distinct stories. In the United States, structural obstacles make the independent SPV model impractical for American investors today. In Latin America, those constraints don't apply, and a large, sophisticated offshore investor base has found it genuinely useful in ways that other structures simply don't match.

Elaborating on the situation in the US, Concha points to two main issues.

The first is registration. Any certificate sold to a US person needs either a registered shelf or a specific regulatory exemption available only to certain financial institutions. Independent SPVs would need to register each individual product, which is unworkable at scale. Bank-issued AMCs can navigate this through

the bank's registered shelf, but that reintroduces balance-sheet exposure — the investor takes on counterparty risk from the bank, losing the structural separation that makes the off-balance-sheet model attractive.

The second obstacle is tax. In the early 2000s, a prominent hedge fund manager began using derivative certificates to replicate hedge fund returns inside a structured wrapper, deferring tax that would otherwise have been assessed at the individual investor level. The IRS responded with Section 1260, which removed that advantage. The registration problem, Concha says, has technical workarounds. The tax treatment is the harder issue, and the one his legal team is actively working through.

04·02

Latin America: the demand is real

South of the US border, the story is entirely different. Concha recently completed a roadshow across Luma's client base and found consistent, broad-based demand across markets and use cases. The evening of the AMC Summit session, Luma was hosting over twenty-four wealth management entities in Miami — a gathering that, in Concha's telling, was less a sales event than a reflection of how far the conversation had already come. Uruguay and Argentina lead in terms of activity, driven by the concentration of offshore wealth in both markets. Brazil's major banks run AMCs for their offshore clients. Colombia and Panama are growing. Miami, sitting at the intersection of US infrastructure and Latin American capital, functions as the natural hub for much of it.

What drives this is not a single factor but a convergence of several — regulatory flexibility, tax advantages that don't exist in the US, a large and sophisticated offshore investor base, and a genuine need to make assets accessible that would otherwise sit outside the standard brokerage account. The AMC addresses all of it.

04·03

The bankability principle

Before walking through specific use cases, Concha frames a concept worth pausing on. An AMC is a certificate with an ISIN, clearable at Euroclear, holdable inside a standard brokerage account at Merrill Lynch, UBS, Pershing, or Interactive Brokers alongside equities and bonds. That may sound unremarkable until you consider what it replaces.

Hedge fund participations, private equity interests, real estate vehicles — these typically sit outside the main account. They are not securities in the traditional sense; they live in a different administrative world, often in a Cayman or Delaware structure entirely disconnected from the investor's regular portfolio. The AMC takes that economic exposure and wraps it into a bankable, securitized instrument. The asset becomes visible, holdable, and manageable within the investor's existing account. For distribution, Concha says, this matters more than almost anything else — a lot of people are simply more willing to invest in something they can see alongside everything else they own.

> **A lot of people are more inclined to invest in something they can hold inside their existing brokerage account, rather than putting money into a Cayman or Delaware fund that's completely disconnected from their regular accounts.**
>
> FERNANDO CONCHA

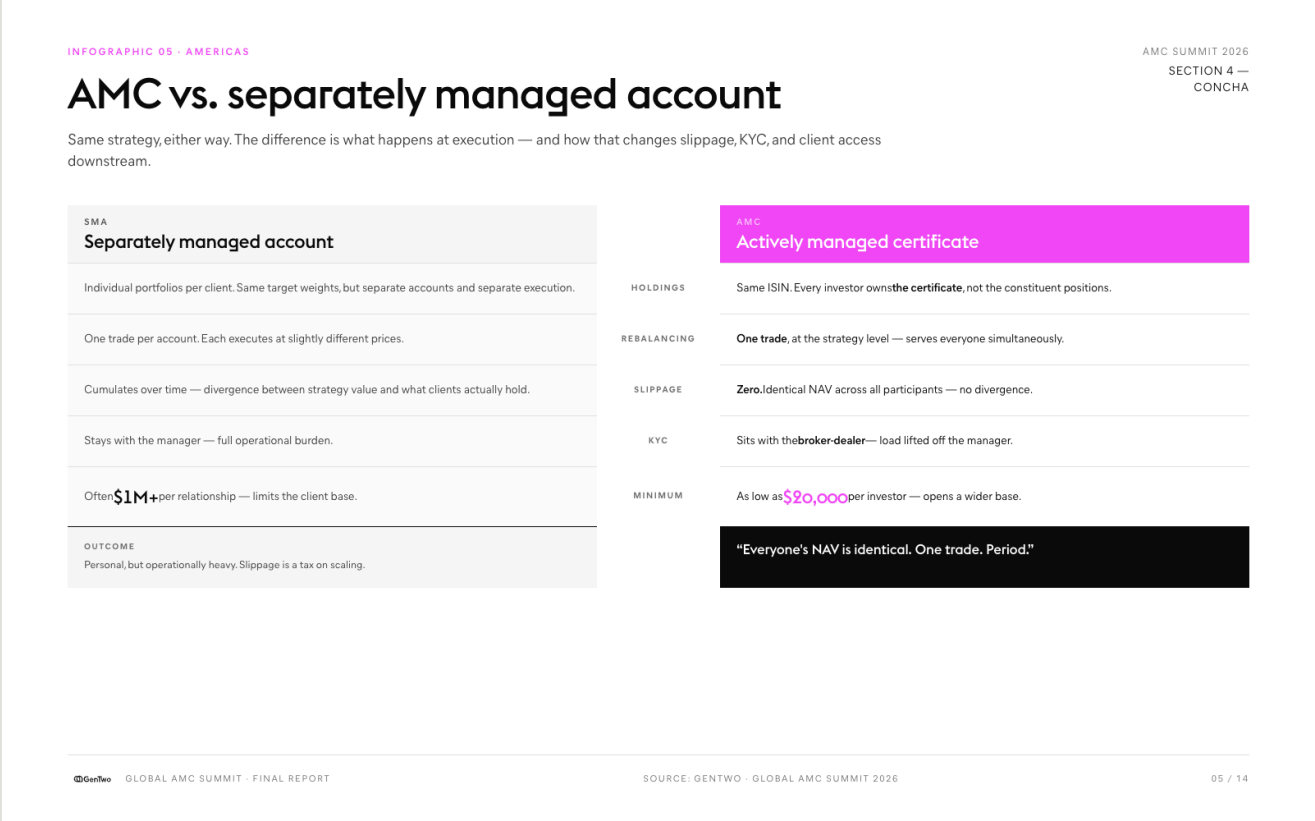
04·04

Four use cases

Concha identifies four core AMC use cases, each solving a distinct problem. They apply across markets — the Americas provide the illustrations, but the logic is universal.

The first is the strategy wrapper: using an AMC to deliver a managed investment strategy to multiple clients through a single vehicle. The natural comparison is with a separately managed account. In an SMA, the manager holds the same assets individually across each client's account. Every rebalance requires separate execution across every account — at slightly different prices, creating slippage that accumulates over time into a divergence between the theoretical value of the strategy and what each client actually holds. In an AMC, all clients own the same certificate. One rebalancing trade serves everyone simultaneously. Every investor's NAV is identical — there is no gap between what the strategy is worth and what the client holds. KYC sits with the broker-dealer rather than the manager, removing a significant operational burden. Minimum investment thresholds are also significantly lower than a fund structure would typically require, opening the strategy to a wider client base.

> **In an AMC, all clients are participants in the same certificate. You execute one trade and everyone's NAV is identical — there is no slippage between the theoretical value of the strategy and what the client actually holds.**
>
> FERNANDO CONCHA

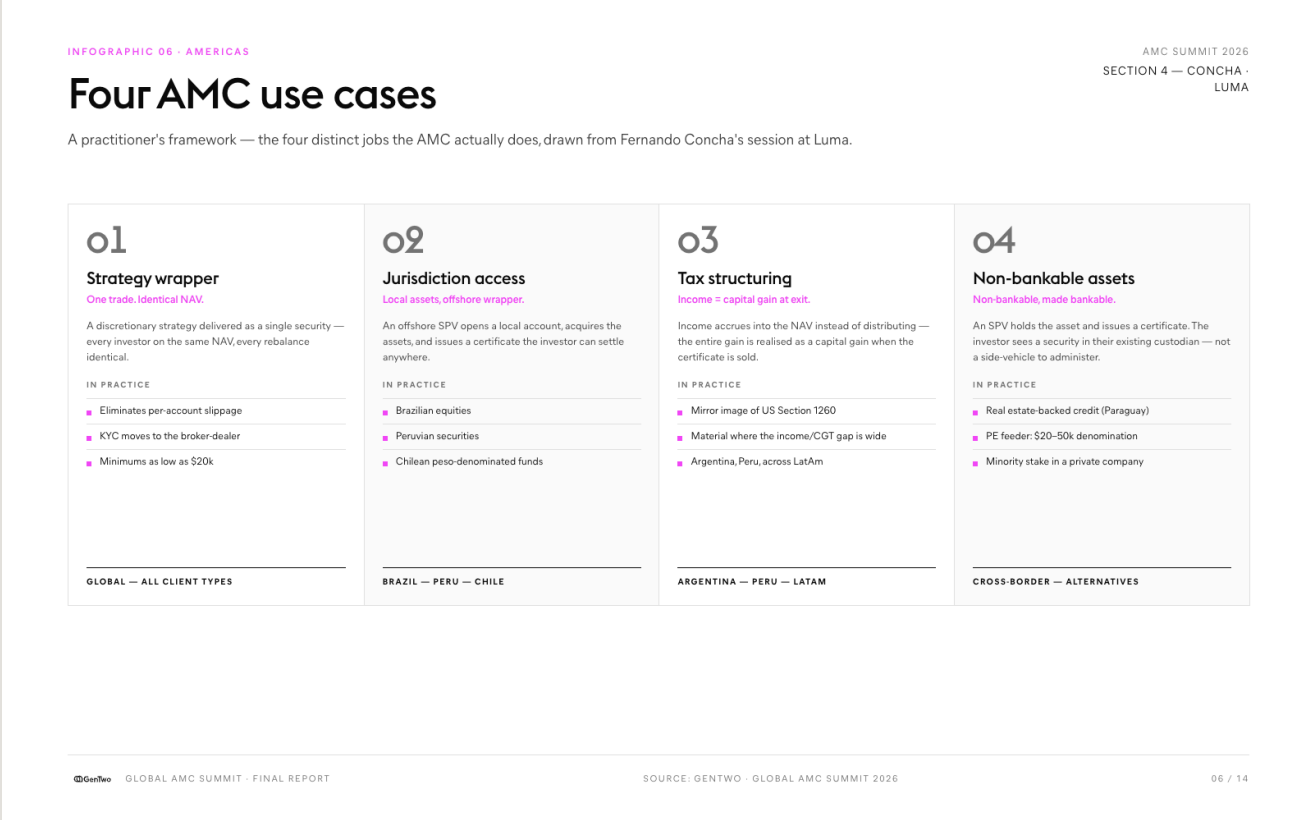


The second use case is jurisdiction access. Some assets can only be held by opening a local account in the country where they trade — Brazilian equities, Peruvian securities, Chilean peso-denominated funds. An SPV incorporated offshore opens that local account, acquires the assets, and issues a certificate into the international market. Investors gain the economic exposure through their existing international accounts, without navigating local market infrastructure. Concha has seen this applied across Brazil, Peru, and Chile, and the demand for further variations is growing.

The third is tax structuring. In many Latin American jurisdictions, income distributions are taxed at a higher rate than capital gains. Inside an AMC, income accrues into the NAV rather than being paid out. When the investor sells the certificate, the entire gain is treated as a capital gain rather than income. The product converts a higher-taxed income stream into a lower-taxed realized gain at exit — a meaningful advantage in Argentina, Peru, and other markets where the differential is significant. This is, notably, the mirror image of the US Section 1260 problem: the same structural characteristic that made the AMC problematic for US tax purposes makes it genuinely valuable in jurisdictions where capital gains treatment is the goal rather than the loophole.

The fourth use case — and the one generating the most appetite right now — is making non-bankable assets bankable. Concha walks through three examples. A credit-linked structure used to finance a real estate acquisition in Paraguay: the SPV issues a certificate backed by the underlying asset, investors hold it in their international accounts, and the cash flows from the property service the certificate. A private equity feeder in which an SPV takes a position in a major fund's new vintage and issues certificates in denominations as small as $20,000 to $50,000, democratising access to a strategy that would typically require a million-dollar

minimum. And a partial company opening in which an SPV acquires a minority stake in a privately held business, issues certificates to external investors who receive economic exposure without voting rights, and provides the controlling shareholder with liquidity without the complexity of a public listing.



04·05

First Principle: the use case as product

A fifth use case came not from client demand but from Luma's own strategic view of where markets were heading. After several years of strong equity performance, Concha and his team began looking for a vehicle suited to a mean-reversion environment — one in which structured notes, which tend to perform particularly well when markets come off peaks, would come into their own. The secondary market for structured notes can offer significant discounts in periods of stress, but capturing that opportunity requires expertise most investors and their advisors don't have.

Luma identified a Chicago-based manager, Invictus Capital, which had been running a structured notes strategy as separately managed accounts in the US for over a decade, with approximately a billion dollars in AUM and five years of documented live track record. When it came to choosing an issuer, the criterion was clear: full asset segregation, with no credit risk from the issuer. The Credit Suisse collapse had illustrated the point precisely — even assets technically held in custody elsewhere carried real counterparty exposure when the issuing bank failed. That made the fully isolated SPV model essential. Working with Invictus and GenTwo, Luma packaged that strategy as an AMC for international investors — a certificate named First Principle, after the manager's core investment discipline: above all, do not lose money. Investors gain managed exposure to the structured notes asset class through a single Euroclear-clearable instrument, without tracking individual positions, managing calls and maturities, or reinvesting proceeds themselves.

04·06

The open question

Concha is direct about one structural limitation that the AMC has not yet solved cleanly: open-ended subscriptions. The product works efficiently when capital is committed upfront. When subsequent investors want to join, secondary subscriptions through the paying agent carry fees that make the economics unworkable below roughly $600,000 — at which point issuing a new tranche within the same SPV becomes the practical solution, introducing a new NAV and added operational complexity.

Tokenization removes this friction: without a paying agent in the secondary subscription process, smaller inflows become viable. But the trade-off is real. A tokenized AMC cannot be held inside a traditional brokerage account — and for investors in the Americas, the ability to hold the certificate at Merrill Lynch, Pershing, or UBS is often the product's primary appeal. Gaining frictionless subscriptions means surrendering the bankability that made the AMC worth buying in the first place. Which way that trade-off resolves, Concha says, is the question the market is still working out.

> **Tokenization is the obvious long-term answer. But you gain something on the infrastructure side and lose it on the distribution side. We'll see which direction wins.**
>
> FERNANDO CONCHA

CHAPTER 05

AMCs and Digital Assets

LOHBERGER · MARTY · SYGNUM & GENTWO DIGITAL 10 MIN READ

For years, the gap between institutional capital and digital asset strategies was largely structural — the right strategies existed, but no appropriate vehicle did. The AMC changed that, providing a regulated, bankable wrapper for approaches that would otherwise have lived entirely outside traditional financial infrastructure. This chapter examines what that pairing looks like in practice: the client profiles driving demand, the operational architecture that has become the post-FTX standard, and a genuinely contested question about whether tokenizing AMCs is the next distribution breakthrough — or just another layer of complexity.

Dominic Lohberger is Chief Product Officer at Sygnum, the Swiss digital assets bank that received the world's first banking license of its kind from FINMA in 2019. He joined the firm as Head of Trading when it had roughly twelve employees and has since helped grow it to around 280, with offices in Zurich and Singapore. Florian Marty recently joined GenTwo Digital, GenTwo's digital assets subsidiary, after fifteen years at Bank Vontobel, where he spent the final five years leading the blockchain and crypto initiative. Unlike the other sessions in this report, this one was held live — an evening panel at GenTwo's Zurich offices, two practitioners talking through a market they both operate in from the inside.

WATCH THE SESSION

AMCs and Digital Assets

youtu.be/uKWp-qk904

05·01

Why the AMC fits a digital asset strategy

The case for the AMC as a vehicle for digital asset strategies is essentially the same as it is elsewhere — fast, cost-effective, and regulated — but Lohberger frames it in terms of a specific journey he sees repeatedly among Sygnum's clients. Someone builds an algorithmic trading strategy, runs it on their own account, builds a track record, and then asks a natural question: how do I open this to investors? A fund structure is possible but carries significant overhead, particularly for a small operation. An AMC fits quite naturally at that step — regulated enough to satisfy the first wave of investors without requiring institutional infrastructure, and fast

enough not to slow the strategy down. From the issuance side, the speed advantage is not theoretical: as Marty points out, for banks running on GenTwo Pro, a new AMC on digital assets can be issued within minutes, with accounts opened automatically, terms accepted digitally, and no manual intervention required.

05·02

Two kinds of client

Lohberger groups the digital asset AMC client base into two distinct types. The first is the fund manager profile — typically someone who came from technology, built a strategy running across exchanges, found it profitable, and now wants to turn it into a product. These clients often trade derivatives: options, futures, basis trades. The second type is less intuitive but increasingly common: external asset managers and multifamily offices that want to differentiate their offering by launching proprietary products. For this group, having an AMC factory that can issue new instruments quickly becomes a competitive advantage — a way to build an in-house product capability that sets them apart from peers offering only third-party funds.

The practical constraint, in Lohberger's experience, is not the issuance itself but the bank. Getting an AMC onboarded and through compliance takes time, particularly the first time. Once that initial hurdle is cleared, subsequent launches become progressively faster.

05·03

Strategies in motion

Marty traces the evolution of digital asset AMC strategies across four broad phases: single-underlying trackers, static baskets, discretionary portfolios across the top-20 or top-50 tokens, and now increasingly complex strategies that incorporate yield-generating components — staking, yield farming, DeFi protocol exposure. Hybrid strategies that combine digital assets with traditional instruments are also becoming more common, reflecting Sygnum's positioning at the intersection of both worlds.

One theme running through the more sophisticated strategies, according to Lohberger, is a near-zero tolerance for idle assets. The direction of travel is toward automated allocation systems that ensure assets are always deployed into something yield-generating — holding assets in a non-yielding form is increasingly treated as a cost, not a default. Tokenized money market funds are the most visible expression of this trend, offering second-by-second yield accumulation that keeps assets working without requiring them to leave the crypto ecosystem entirely.

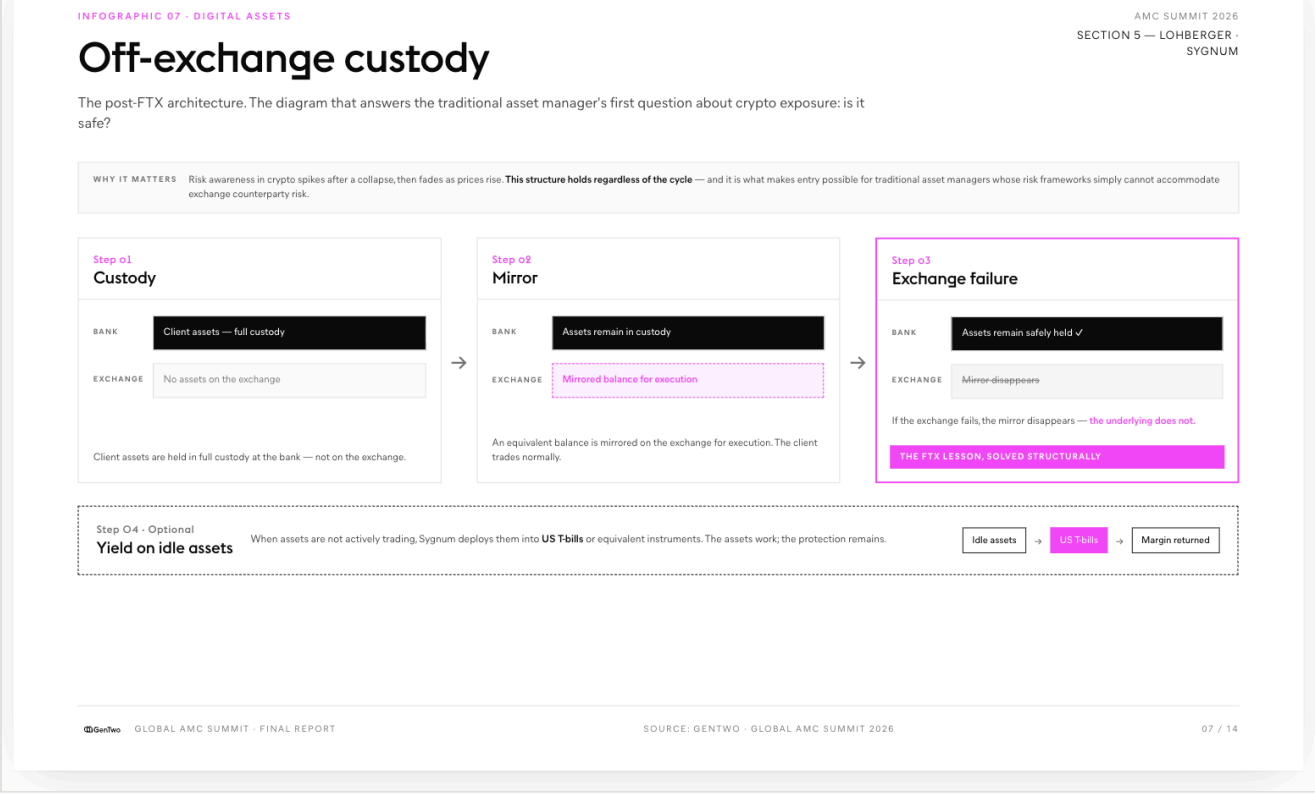
> **We're moving towards a world where automated allocation systems will start to ensure assets are always deployed into something yield-generating. Any asset held in a non-yielding form is essentially a loss at that point.**
>
> DOMINIC LOHBERGER, SYGNUM

05·04

Off-exchange custody: the post-FTX gold standard

For Lohberger, the operational architecture of a digital asset AMC is shaped, more than anything else, by the memory of FTX. Risk awareness in the crypto market tends to spike sharply after a collapse, then fade as prices rise again — a cycle the Bybit hack reinforced more recently. The calculus is uncomfortable but honest: when the market is up 100–200%, the motivation to protect against a 100% loss can feel abstract.

Sygnum's response is an off-exchange custody product that has become the default setup for serious institutional participants. A client's assets are held in custody at Sygnum, with an equivalent balance mirrored on the exchange for trading purposes. If the exchange fails, the underlying assets remain safely held by the bank. Traditional asset managers moving into crypto, Lohberger notes, are simply not willing to accept exchange counterparty risk within their existing risk frameworks — and this structure is what makes entry possible for them. As an extension, Sygnum also allows idle assets to be deployed into US T-bills or similar instruments, with equivalent margin returned to the exchange — so clients who want their assets working even when not actively trading can arrange that too.



05·05

The tokenization question

When the conversation turned to tokenizing AMCs — wrapping an already-issued security in a blockchain token to enable distribution through crypto-native channels — Marty made the operational case: exchanges, custody providers, and crypto-native distributors work in tokens; a traditional ISIN-bearing security is nearly invisible within their systems. Tokenization opens a distribution channel that is otherwise closed. He argued

this may be particularly valuable for traditional investment strategies — not just digital asset ones — that want to reach crypto-native audiences, and that the authorized participant mechanism, already used in the ETF industry, could manage the price-anchoring challenge.

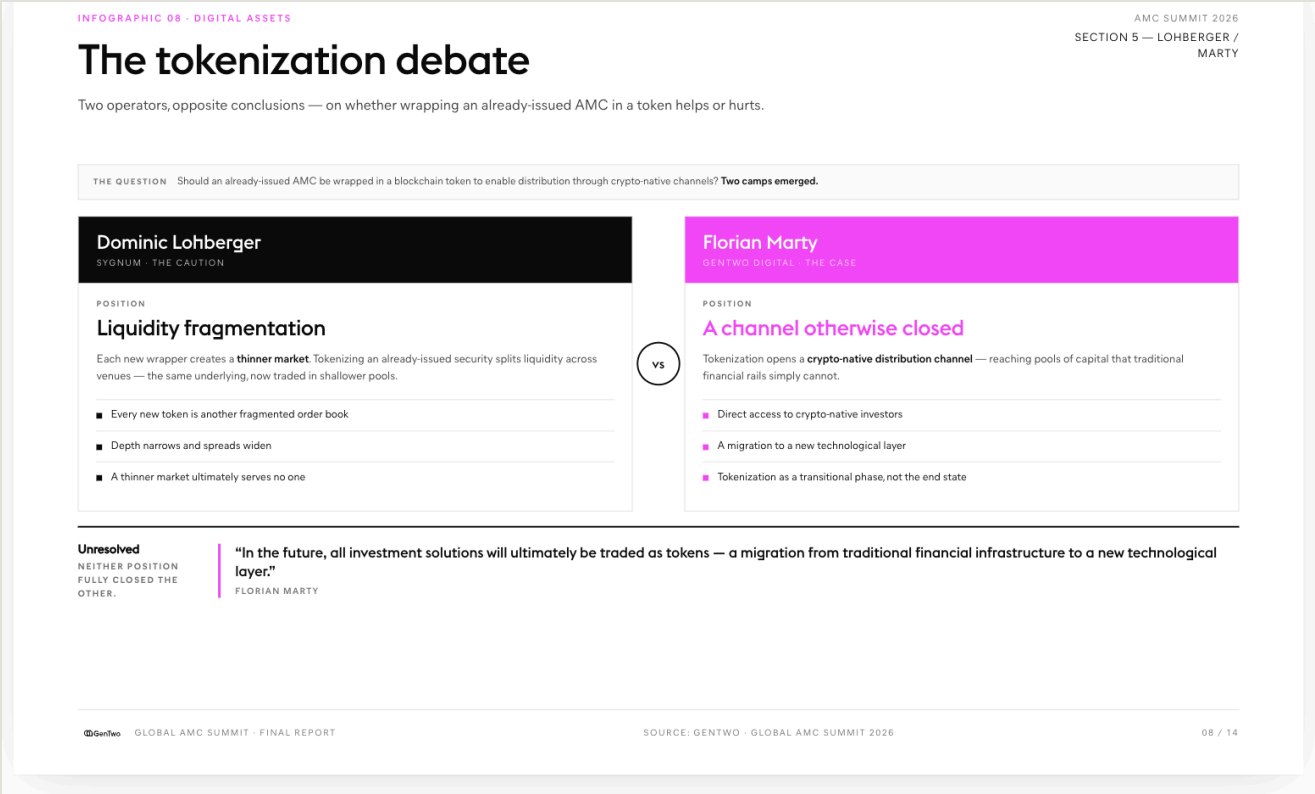
Lohberger's concern is liquidity fragmentation. His image is a child opening Christmas presents — one box wrapped inside another, inside another, inside another. Start with a Bitcoin strategy: it carries Bitcoin's liquidity. Wrap it in an AMC and you have a second, smaller pool. Wrap that in a token and you have a third. Each wrapper creates a new instrument that competes with the others for liquidity, ending up thinner than any of its predecessors.

> **If you want to distribute through crypto-native channels — exchanges, custody providers, distributors — these players speak in tokens. A traditional ISIN-bearing security is almost invisible within their systems.**
>
> FLORIAN MARTY, GENTWO DIGITAL

> **If I look at tokenization today, there are really only one and a half use cases that actually work — stablecoins, and at a stretch, short-term money market instruments. Everything else is going against a marketing budget, not a capital restructuring one.**
>
> DOMINIC LOHBERGER, SYGNUM

Neither position fully closed the other. Marty's broader argument is that tokenization is a transitional phase rather than a permanent structure, and that the financial system is in the process of migrating toward blockchain-native infrastructure. In the meantime, a token wrapper opens a channel that would otherwise require building from scratch. Lohberger's timeline for when tokenized complex products are practically viable stretches further — he sees equities as the likely next step after money market instruments, before the infrastructure is ready for structured products.

> **I personally believe that in the future, all investment solutions will ultimately be traded as tokens — it's a migration from traditional financial infrastructure to a new tokenized, blockchain-based infrastructure.**
>
> FLORIAN MARTY, GENTWO DIGITAL



05·06

The blockchain endgame

The longer-term question — whether a world of native blockchain infrastructure would make the AMC redundant — resolved quickly. In Marty's framing, the strategy lives inside the smart contract, but the smart contract needs to be written; it does not invent the strategy itself. The legal and structural layer around the product is not replaced by putting it on a blockchain; it remains necessary regardless of the infrastructure underneath. Lohberger framed it as complementary problems: blockchain solves the infrastructure question, the AMC solves the question of what is inside the product and how it is governed.

05·07

AI agents and the always-yielding portfolio

Both Lohberger and Marty see autonomous agents managing investment strategies as an inevitable direction. Sygnum is actively investing in MCP infrastructure and compatibility with AI agents, and Lohberger believes the firm is not far from the first real client use cases connecting agents directly to its platform — at a regulated bank, not a fringe experiment. His view of the end state is concrete: an agent with access to an entire portfolio, making real-time decisions across a range of on-chain assets — stablecoins, tokenized gold, an AMC, whatever form makes sense — and ensuring that no asset ever sits idle in a non-yielding form if it doesn't need to. Tokenized money market funds, with their second-by-second yield accumulation, are central to that picture.

Marty notes that investment managers are probably already being advised by AI today, even if agents are not yet executing on their behalf within regulated wrappers. The regulatory path for autonomous execution will take time — but digital assets are the natural environment for it, since on-chain assets can be accessed

directly by smart contracts without the friction of traditional clearing and settlement. The infrastructure is being built around a question that is not yet fully answered: not whether agents will run portfolios, but when, and through what structure.

CHAPTER 06

AMCs from an Asset Manager's Perspective

FABIO OERTLE · ISP GROUP 10 MIN READ

Launching an AMC looks straightforward from the outside — a fast, flexible instrument that can be set up in days. The reality involves more moving parts, and the details matter. Fabio Oertle has been in the AMC market since its earliest days and has overseen more than 2,500 product launches at ISP Group. In this session he covers the full picture: how the market evolved from bank balance-sheet issuance to the SPV model that now defines the industry, who actually uses AMCs and what drives them to launch, and what the process of taking an investment idea to a live, tradable security looks like step by step. He also goes into less familiar territory — what it takes to put genuinely exotic underlyings into an AMC, from private equity to art to racehorses — and closes with a candid read on where the market actually stands today on crypto, tokenization, and AI-driven strategies.

Fabio Oertle is Head of Capital Markets and a Member of the Executive Board at ISP Group, a broadly diversified investment boutique headquartered in Zurich with offices in Geneva, Tel Aviv, Dubai, and Hong Kong. ISP operates across wealth management, asset management, fund placement, and brokerage — but at its center sits a large and long-running AMC business. The firm currently services around $12 to $13 billion in AMC assets across more than 2,500 products launched over eight years, making it one of Switzerland's most active players in the space.

WATCH THE SESSION

AMCs from an Asset Manager's Perspective

youtu.be/XHoNGPapfyg

06·01

Two waves

Oertle traces his own introduction to AMCs to their first wave — the early 2000s, when Swiss banks issued the instruments directly off their balance sheets. He worked at UBS and Bank Vontobel during that period, and the criticisms he encountered were consistent: counterparty risk, since an AMC issued off a bank's

balance sheet exposed investors to that bank's default, and high trading fees, since the product was necessarily tied to the bank's proprietary execution infrastructure.

Those two critiques, he argues, essentially triggered the second wave — the emergence of the SPV model, which ISP was among the first to adopt roughly seven to eight years ago. The shift addressed both problems directly. Issuing out of a dedicated special purpose vehicle eliminates issuer risk entirely: no Lehman scenario. And because the SPV is not a bank, it is not bound to proprietary brokers. But the more significant consequence of the SPV shift, Oertle says, was the expansion of the investment universe. Banks face capital costs for holding exotic or illiquid assets on their balance sheets — risk-weighted assets make such positions genuinely expensive to carry. In an SPV, none of those considerations apply, which opened the door to private equity, private debt, real estate, crypto, and a range of other asset classes that simply were not accessible under the old model.

> **Moving the issuer from a bank to an SPV massively expanded the investment universe. Banks are generally limited to bankable assets because of the capital cost of holding anything more exotic on a balance sheet. In an SPV, none of those considerations apply.**
>
> FABIO OERTLE, ISP GROUP

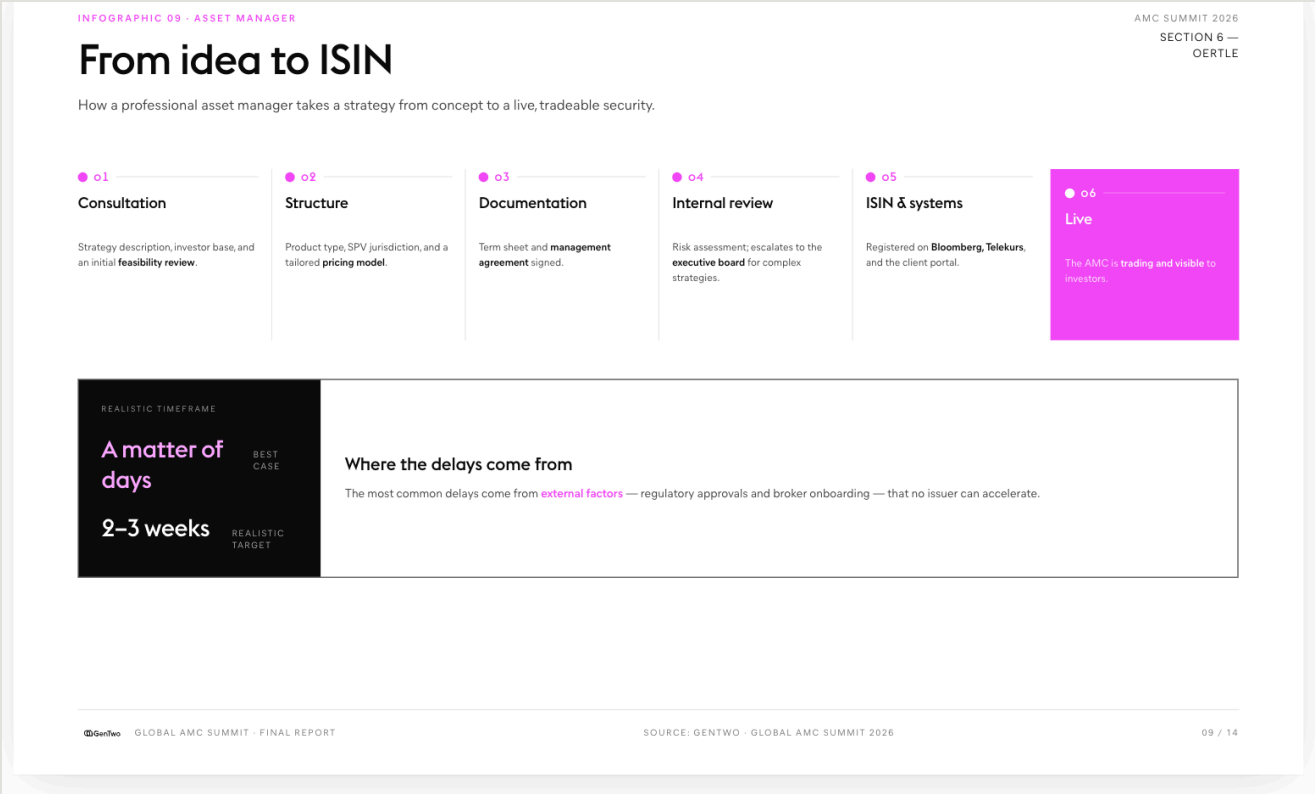
06·02

Who the AMC is actually for

ISP's client base is broad, but Oertle's shorthand for the typical AMC user is a small to medium-sized professional asset manager — external asset managers, independent managers, family offices, smaller banks. What drives them to launch is not always a single moment; many of ISP's clients have been running AMCs for close to a decade. But there are recurring trigger points. One is market timing: an asset manager spots a trend they want to capture quickly, and the AMC's fast time to market — days to weeks, versus months for a fund — makes it the natural choice. The other is scale. A manager with 50 or 100 high-net-worth clients, and more knocking at the door, starts to find that managing each relationship individually is becoming unworkable. Consolidating into an AMC saves both time and cost.

The comparison with a fund comes up often. Oertle's view is straightforward: below $100 million, with a client base that is not specifically targeting institutional investors accustomed to Luxembourg fund structures, the AMC is almost always the better answer. It is faster, carries a lower fixed cost base, and can be launched at seed sizes of one to two million. Above $100 million, with a specifically institutional distribution target, the fund conversation becomes worth having.

The idea of using an AMC as a proof-of-concept vehicle — launch it, build a track record, migrate to a fund once it hits scale — is common among new launchers, he notes. In practice, many choose to stay with the AMC. Not primarily because reaching the AUM threshold is hard, but because asset managers become genuinely comfortable with the AMC and stop wanting to switch.



06·03

Step by step

To make the launch process concrete, the session runs through it as a client walkthrough. The starting point is a consultation: strategy description, initial feasibility check, and a first discussion of the investor base. From there, ISP works with the manager on structure — product type, SPV jurisdiction, and a pricing model tailored to the specific setup. Documentation follows: a term sheet and a management agreement, which is the formal authorization for the manager to act on the SPV's assets. ISP then runs the product through internal review, drawing in progressively more senior people depending on the strategy's risk profile, up to executive board level if needed. Once approved, the ISIN is set up and the product is loaded onto the relevant systems: Bloomberg, Telekurs, ISP's core banking platform, and mySwissAMC.ch, the client portal that gives managers real-time visibility into their holdings, execution prices, and reporting.

In the best case, this process takes a matter of days. A realistic conservative target, accounting for back-and-forth and external dependencies, is two to three weeks. The external dependencies — regulatory approvals in certain jurisdictions, broker onboarding — are the one category that ISP cannot accelerate, and Oertle flags them as the most common source of delay outside the manager's control.

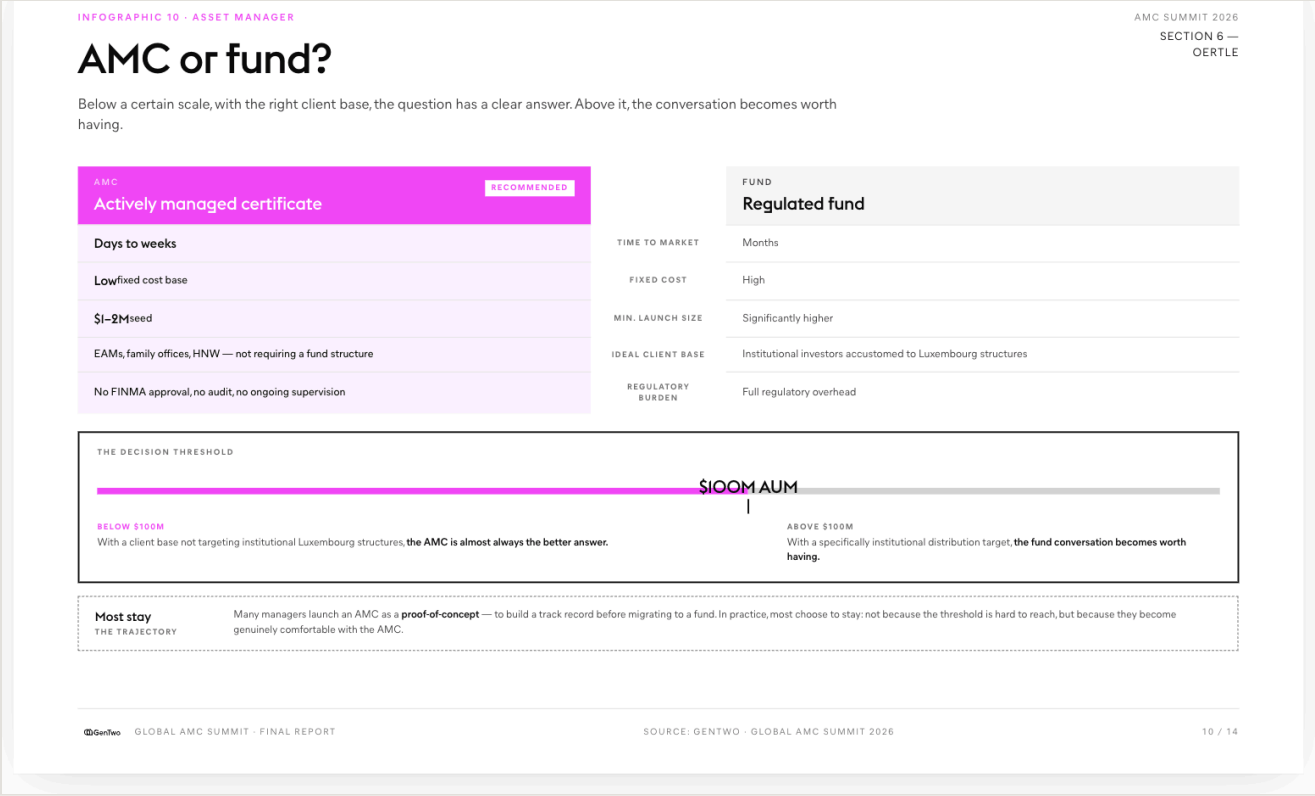
Onboarding checks cover three things: the firm's licence to manage an AMC, the managers' individual qualifications and track record, and the plausibility of the strategy itself. AML compliance sits alongside all of that as a non-negotiable.

06·04

Into the exotic

The bankable universe — equities, bonds, ETFs, futures, structured products — is well-understood. The more interesting question is what the SPV model enables beyond it. ISP's list of exotic AMC underlyings includes private equity, private debt, real estate, racehorses, art, luxury watches, and wine. The largest category by volume is private equity, followed by private debt and private market funds. The very exotic — horses, art, watches — has not grown dramatically, Oertle says, but the broader trend toward private market instruments is clear and continuing.

The additional complexity of exotic underlyings is substantial, and Oertle walks through it using a hypothetical art portfolio. The due diligence process must verify ownership of the pieces, confirm authenticity through external experts, and establish that proper registered storage is in place. Any asset sitting in a living room rather than a qualified storage facility is a non-starter. Valuation is the central ongoing challenge: exotic AMCs require an independent third-party valuator to produce assessments that feed into the NAV. For private equity with a five-to-ten-year exit horizon, that might mean two, three, or four valuation events over the life of the product — triggered by significant transactions or formal independent assessments from firms like PwC or KPMG. Investors need to understand upfront that the NAV will only update when a new valuation is available. Transparency makes the arrangement workable; ambiguity does not.



The hardest part

Asked what first-time AMC launchers most consistently underestimate, Oertle does not hesitate: raising money. A well-built strategy and the ability to fund an AMC are two entirely different things, and the gap between them trips up a disproportionate number of new entrants, particularly smaller or unregulated managers with sophisticated quantitative models but limited investor networks. ISP does have a structure for working with unregulated managers — the firm can act as the regulated asset manager while the unregulated party serves as investment advisor, sending recommended trades that ISP reviews before execution. But even with that structure in place, the investor access challenge remains.

On the question of how precisely to define a strategy in the term sheet, Oertle's advice reflects hard experience. Specificity gives investors confidence in what they are buying; too much specificity constrains the manager's ability to respond to changing conditions. The right balance is a term sheet that is clear enough to orient investors, general enough to preserve room to maneuver, and never so specific that a sensible rebalancing decision could be construed as a breach.

06·06

Market trends: crypto, tokenization, and AI

Oertle's read on the current state of crypto AMCs is candid. There was, for a period, strong narrative momentum around institutional adoption of crypto strategies — and ISP has invested significantly in digital asset custody and brokerage in anticipation of it. But the actual volume of crypto AMC demand, he says, has not matched the conversation around it. Cycles play a role, and he remains a believer in the space. But for now, it is generating less volume than the rhetoric might suggest.

On tokenization, his view tracks the broader market: theoretically compelling, practically slow. ISP is positioned to launch tokenized products and is watching adoption develop. A generational dimension is part of the explanation — familiarity and comfort with the technology is still unevenly distributed. His expectation is that it becomes a significant part of the business in time; currently it is a small one.

AI is already present. ISP has asset managers actively using AI to determine investment strategy and rebalancing decisions within their AMCs, and more are joining that group. What Oertle finds more interesting is the regional variation in how it is used. Swiss managers, he observes, tend to want to remain visibly in control — there is a strong cultural preference for the manager being able to explain any decision to a client. In Hong Kong and across Asia more broadly, ISP sees significantly more openness to fully rules-based or third-party-managed strategies, where the manager's role is more oversight than active judgment. Both approaches use AMCs heavily. They use them differently.

CHAPTER 07

AMC Master Class: A Case Study in Complex AMC Issuance

MCSHANE · TSIEN · GENTWO 12 MIN READ

Most AMC conversations happen at the level of strategy and market opportunity. This one goes deeper. The GenTwo Master Class was designed as a technical session — a walk through the real mechanics of structuring and launching an AMC, anchored by a synthetic case study built to reflect the kind of complex, real-world product that GenTwo actually sees come through its pipeline. Matthew McShane, Senior Structurer at GenTwo, led the structuring side: the anatomy of a hybrid AMC that combines private equity, private debt, and liquid assets in a single wrapper, and what it takes to get it from concept to live ISIN. Pierric Tsien, from GenTwo's product legal team, covered the legal layer: how private equity direct investments actually work, what documentation is required, and where deals typically run into trouble. The chapter that follows is the most technically detailed in this report — a practical reference for anyone thinking seriously about complex AMC issuance.

Matthew McShane is a Senior Structurer at GenTwo, responsible for everything from initial product design through to issuance — term sheets, hedging, coordination with paying agents and directors. He has been at the firm for close to three years. Pierric Tsien is Senior Legal Counsel on GenTwo's product legal team, supporting the structuring function on the legal aspects of product documentation and transaction agreements, with a background in Swiss law from both private practice and in-house roles. Both note at the outset: nothing in this chapter constitutes legal or investment advice, and anyone with a specific structuring or legal question should consult their own advisors.

WATCH THE SESSION

AMC Master Class: A Case Study in Complex AMC Issuance

youtu.be/1vUq8JnfeOI

The case study: a hybrid AMC

The session is built around a synthetic product — the Multi-Strategy Growth and Income AMC — designed to illustrate the characteristics and complexities of the more sophisticated structures GenTwo brings to market. The choice of a hybrid AMC is deliberate: it combines private equity, private debt, and liquid bankable assets in a single wrapper, issued out of a Protected Cell Company (PCC) in Guernsey, open-ended, cleared and settled through SIX, and restricted to institutional and professional investors. The hybrid is not a niche structure. It is, McShane notes, increasingly sought after — a genuinely creative use of the AMC format that has no real equivalent in other wrappers without significant additional regulatory overhead.

The three sleeves each serve a distinct purpose. Private equity is in the basket for the illiquidity premium and the growth trajectory of high-quality private companies. Private debt generates consistent income and capital preservation through structured lending. The liquid sleeve handles portfolio liquidity — it allows the strategy to satisfy redemptions without having to liquidate illiquid positions, covers ongoing fees at the product level, and provides interim returns during the period when private market positions are being deployed or held. McShane offers a vivid illustration of how the three-sleeve structure works as a thematic vehicle: a healthcare-focused AMC could simultaneously hold private equity in high-growth healthcare companies, extend private debt to healthcare businesses, and hold listed healthcare equities and ETFs — one product, one ISIN, three distinct income streams from the same industry.

> **You don't often see a structure that can combine such a wide variety of asset types and still allow investors to participate across the whole basket. That's one of the genuinely distinctive features of the AMC.**
>
> MATTHEW MCSHANE, GENTWO

07·02

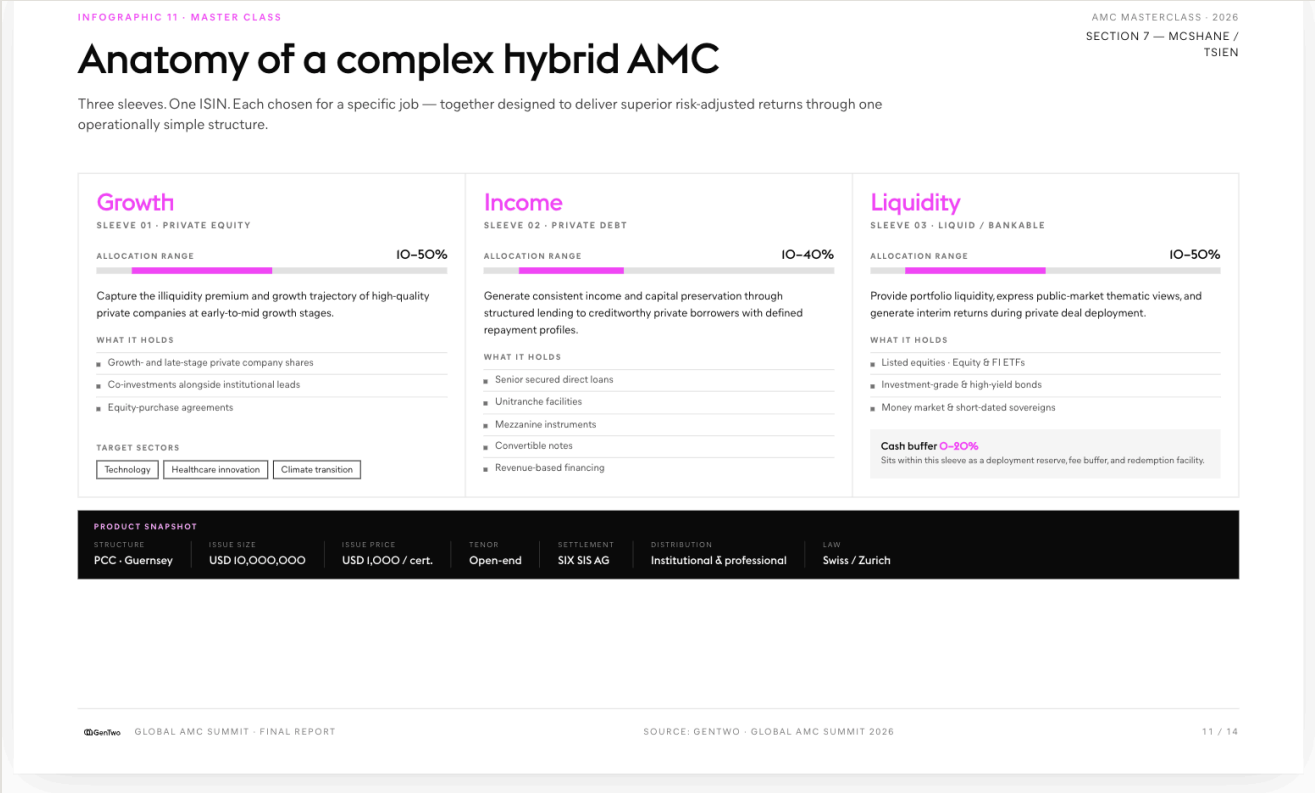
Anatomy of the structure

Every product issued through GenTwo comes with a structure diagram reviewed and approved by all stakeholders, a term sheet, and a fee schedule. In the case study, the fee structure includes a management fee, an administration fee, a one-time setup fee, and a 20% performance fee above a 6% hurdle rate with a quarterly-observed high watermark. A bid-offer spread applies to secondary market trades. All fees are deducted at the strategy level.

The investment strategy is deliberately balanced between specificity and flexibility. The term sheet needs to be precise enough that an investor understands what they are buying; it cannot be so precise that it constrains the manager's ability to respond to market conditions. McShane is direct on the consequences of getting this balance wrong: a manager who has defined their strategy too narrowly may find that a sensible rebalancing decision constitutes a technical breach. The advice is to be descriptive, not prescriptive — to orient the investor without boxing in the manager.

> **We keep the investment strategy vague enough that it can be dynamic and encompass a wide variety of underlyings — but specific enough that the investor knows what they're getting into.**
>
> MATTHEW MCSHANE, GENTWO

One structural feature is worth highlighting in isolation: the cash buffer. Every hybrid AMC holds some cash, primarily to cover redemptions and fees. Best practice, McShane says, is to keep as little as possible sitting uninvested — idle cash should be deployed into money market instruments or short-duration fixed income, generating some yield while private positions are being held or deployed.



07·03

The regulatory position

A recurring theme in the session is the AMC's regulatory status — specifically, what it is not. An AMC is not a collective investment scheme under CISA. The certificate itself requires no FINMA authorization, no fund registration, and no ongoing regulatory reporting to a fund supervisor. That is the enabling condition for its speed and flexibility: from a signed agreement with GenTwo to a live Swiss ISIN, the typical timeline is four to six weeks. Every product issued on the GenTwo platform carries a Swiss ISIN and is eligible for clearing through SIX SIS, making it bookable in virtually any institutional custody system globally — and, notably, any AMC or CLN previously issued through GenTwo is itself a liquid, clearable asset, eligible to serve as an underlying in a new structure. For strategies under $100 million, the AMC structure can deliver cost savings of 60–70% versus an equivalent fund.

The PCC structure provides the primary investor protection mechanism. Each AMC is issued as a separate cell, and the assets and liabilities of each cell are legally ring-fenced from every other cell and from the PCC's general assets — structurally equivalent to a separate legal entity for each product. The documentation is explicit throughout: this is not a FINMA-regulated product and is only distributable to professional and institutional investors. Maintaining that position is an active exercise: the term sheet language is deliberately constructed to stay outside collective investment scheme territory, with regular input from legal counsel to ensure the structure remains within the regulatory perimeter.

07·04

Private equity direct investments: the legal mechanics

Pierric Tsien takes the second part of the session, moving through the legal process of making a direct private equity investment through an AMC. The starting point is the transaction scenario. There are two: a primary investment, in which the target company issues new shares to the SPV and fresh capital flows directly into the business; and a secondary, in which the SPV acquires existing shares from one or several selling shareholders. Primary transactions suit situations where the company needs growth capital. Secondary transactions provide liquidity to exiting shareholders without diluting the cap table.

Each scenario generates a different documentation package. A primary investment requires a subscription agreement, an updated shareholders agreement, and amended articles of association. A secondary requires a share purchase agreement and typically an accession to the existing shareholders agreement. In both cases, additional documentation review is standard: a shareholder register and cap table, the articles of association, a business plan, bank details confirmation, and a tax memorandum. The share class being acquired matters beyond price — ordinary shares, preference shares, participation certificates, and the Series A, B, and C designations each carry different governance rights, liquidation preferences, and anti-dilution protections that need to be read carefully.

> **If the documentation is incomplete or inconsistent, it can create delays and sometimes signals concerns on the side of the target company that need to be addressed. Completeness at this stage saves significant time later.**
>
> PIERRIC TSIEN, GENTWO

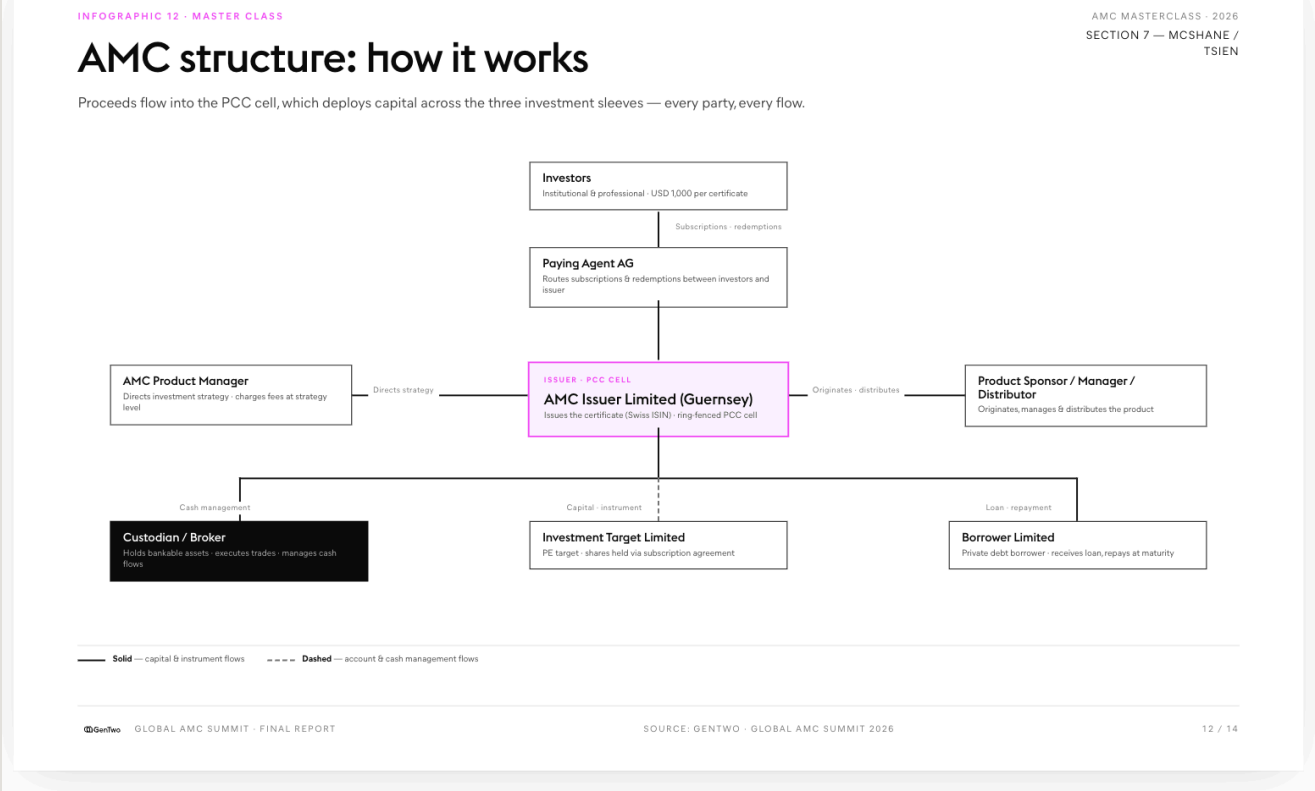
07·05

Where transactions run into trouble

Tsien's list of common transaction blockers is worth reading carefully. The items that most often delay or prevent a closing: unclear or contested title to shares; share capital that is not fully paid up; existing encumbrances; transfer restrictions requiring board or shareholder consent; pre-emption rights and rights of first refusal that need to be waived; ongoing litigation; pending regulatory approvals; unresolved tax liabilities or audits; and outstanding convertibles, warrants, or options that affect the cap table. Real estate and intellectual property held by the target company draw extra scrutiny — both require confirmed title, independent valuation, and in the case of IP, a review of ownership and licensing arrangements.

> **Identifying these early is critical, because they can significantly delay or even prevent a transaction from closing.**
>
> PIERRIC TSIEN, GENTWO

Finding these issues late is expensive. The goal is always to surface them before signing — and the discipline of a thorough documentation review at the outset, however painstaking, is the most reliable way to do it. The questions that come up most reliably in this territory, and the answers McShane and Tsien gave to them, are collected below.



07·06

Sidebar: Eight questions — a structured reference

01 Structure

Can an AMC hold private equity, private debt, and listed assets in the same wrapper?

Yes — and it is one of the AMC's most distinctive features. A hybrid structure can combine shareholder performance from private equity, income from private debt, and returns from listed equities, bonds, or ETFs, all within a single ISIN, all accessible to the same investor. No equivalent exists in other structures without significant additional regulatory overhead.

02 Regulation

Do I need a regulatory licence to manage an AMC?

It depends on the strategy. If the AMC includes a liquid sleeve with discretionary daily management — a custodian account with a limited power of attorney — the manager needs an appropriate licence from their regulatory authority, whether FINMA, the FCA, or equivalent. If the AMC holds only private equity or private debt with no active daily trading element, no licence is required at all.

03 Operations

How long does it take to add a new private asset after the AMC is already live?

Around ten business days if the documentation is clean and complete. More complex structures or incomplete documentation will take longer. New assets can always be added to a live AMC — building that flexibility into the term sheet at inception avoids the need for corporate actions later.

04 Structure

Can the investment strategy be changed after the AMC launches?

Yes. If the change falls within the existing term sheet, it is a straightforward amendment. If it materially affects the product's risk profile, a corporate action notifying note holders is required. The process typically takes five to fifteen business days — far simpler and faster than a fund mandate change.

05 Legal

What is the difference between a primary and secondary private equity investment?

A primary investment is a capital increase: the SPV subscribes for newly issued shares, injecting fresh capital directly into the company. A secondary is a share purchase from an existing shareholder: no new capital enters the business, but the seller receives liquidity. Each generates different documentation and carries different implications for the cap table.

06 Legal

What are the most common transaction blockers in a private equity deal?

Unclear share title, unpaid share capital, existing encumbrances, transfer restrictions requiring consent, pre-emption rights needing waiver, ongoing litigation, pending regulatory approvals, unresolved tax liabilities, and outstanding convertibles or warrants affecting the cap table. Identifying these before signing is critical — finding them after is significantly more costly.

07 Structure

What is a PCC and how does it protect investors?

A Protected Cell Company is a structure in which each product is housed in a separate, legally ring-fenced cell. The assets and liabilities of one cell are isolated from every other cell by statute — not just by contract. The performance or liabilities of one AMC cannot affect another within the same structure. For investors

holding multiple products through the same issuing entity, that isolation is not incidental — it is the point.

08 Operations

Is there a bid-ask spread on secondary market trades, or can I buy at NAV?

Primary market subscriptions — before the product is issued — are executed at NAV with no spread. In the secondary market, every trade carries a bid-ask spread of up to 1% under normal market conditions. The effective purchase or sale price in the secondary market is NAV plus or minus the spread, not NAV itself.

CHAPTER 08

AMC Infrastructure: Building the Rails

SITAR · GLÖCKLER · GENTWO 9 MIN READ

The AMC market's growth has consistently outrun the infrastructure supporting it. For years, a portfolio manager trying to find the right setup for a launch faced the same wall: no common framework for comparing providers, no transparent pricing, and no way to orient themselves without entering multiple simultaneous sales processes that took weeks and generated more confusion than clarity. That gap is beginning to close — and the way it is closing is itself instructive. This session examines that infrastructure evolution through a concrete case study: the GenTwo AMC Creator, a comparison and discovery tool built to bring transparency to a market that has historically had very little of it. Lukas Sitar, who leads business solutions at GenTwo, and Melanie Glöckler, a service designer on the firm's innovation team, walk through how the tool came to be, what they learned when real users encountered the first version, and how that learning reshaped both the product and their understanding of what practitioners actually need. The roadmap — from discovery tool to end-to-end execution platform — points toward something larger: a market in which the distance between intent and launch is measured in days rather than months.

Lukas Sitar leads business solutions at GenTwo, with responsibility for the firm's partner relationships and the go-to-market around the AMC Creator. Melanie Glöckler is a service designer on GenTwo's innovation team, focused on needs-based development — understanding what customers are struggling with and building against that. Together they co-led the AMC Creator initiative from idea through execution and now through its ongoing development. The session is explicitly framed, at the outset, as something other than a product demonstration: it is an account of a market problem and how one attempt to solve it evolved.

WATCH THE SESSION

AMC Infrastructure: Building the Rails

youtu.be/P1t-WPXK_6c

The gap the market lived with

Sitar's explanation of the problem begins with GenTwo's position. As an infrastructure provider working daily with portfolio managers, partner banks, broker-custodians, and regulators, the firm sits at a crossroads that very few market participants share. That position made the friction visible from every angle simultaneously.

On the buy side, the frustration was consistent. Portfolio managers knew an AMC was the right vehicle for what they were trying to do, but orienting themselves in the market meant running five separate sales processes in parallel — none of which had any incentive to offer a transparent comparison. The process took weeks, generated conflicting information, and often ended without a clear answer.

> **We are at the intersection of portfolio managers, partners, broker-custodians, banks, and regulators — we talk to all of them every single day. That gives us a perspective only a few players in the market have, and we see the friction from every angle.**
>
> LUKAS SITAR, GENTWO

On the supply side, the problem appeared in a different form. Banks, broker-custodians, and issuance platforms all had strong offerings, but there was no common language in the market. Every provider described their capabilities differently, structured fees differently, bundled services differently. A strong offering could get lost in translation simply because there was no shared framework against which to present it. The absence of that framework was not accidental — it suited providers that had established distribution relationships and preferred that potential clients start conversations through them. But as the market grew and new entrants arrived, the cost of the opacity rose with it.

08·02

Co-built with the market

The decision to build the AMC Creator grew out of this accumulated observation rather than a formal product strategy. Internal conversations — sales debriefs, partner discussions, feedback from strategy managers — had circled the same point often enough that it became impossible to ignore. GenTwo had the data and the overview to build something meaningful. The question was whether partners would support it.

The answer was immediate. When Sitar took the idea to a small number of key partners, the response was uniformly positive. They recognised the same gap and agreed to help define what a fair comparison should look like, what information mattered most, and how their offerings should be represented accurately to managers they were trying to reach. The tool was co-created with the market from the outset, rather than being built and presented to it.

"The tool wasn't just a GenTwo view of how the market should be presented," Sitar says. "It was genuinely shaped with the market." That collaboration is, in itself, a small signal of something changing in an industry that has traditionally competed on information asymmetry.

08·03

The MVP and what the data revealed

The first version was deliberately simple. Glöckler describes the brief as almost austere: a few steps, a handful of questions about the manager's strategy and asset classes, and a set of recommendations at the end. The build was fast — Glöckler vibe-coded the initial prototype herself, using AI-assisted development tools, with the development team providing oversight on security and compliance. The intentional scrappiness was the point: launch, observe, and learn from real behavior rather than perfect the design in advance.

What happened next changed the direction of the product entirely. Within weeks, thousands of visitors had come through — far more than anticipated. That volume generated data, and the data told a clear story. Glöckler's team identified what they called the "highway" — the optimal path through the tool with the highest conversion — and, more revealingly, the exits: the moments where people abandoned the journey. The single most important pattern was structural. The linear flow did not match how managers actually approached the decision.

> **Their approach was much more exploratory. They wanted to toggle an assumption and see what changed. They wanted to understand what was possible before committing to any direction. They wanted to play around, not fill out a form.**
>
> MELANIE GLÖCKLER, GENTWO

A portfolio manager thinking about an AMC launch does not arrive with a checklist. They arrive with intent and uncertainty — they know roughly what they want to do but not yet how. A sequential questionnaire treated that uncertainty as a problem to be resolved step by step. What they actually needed was something closer to an exploration space.

08·04

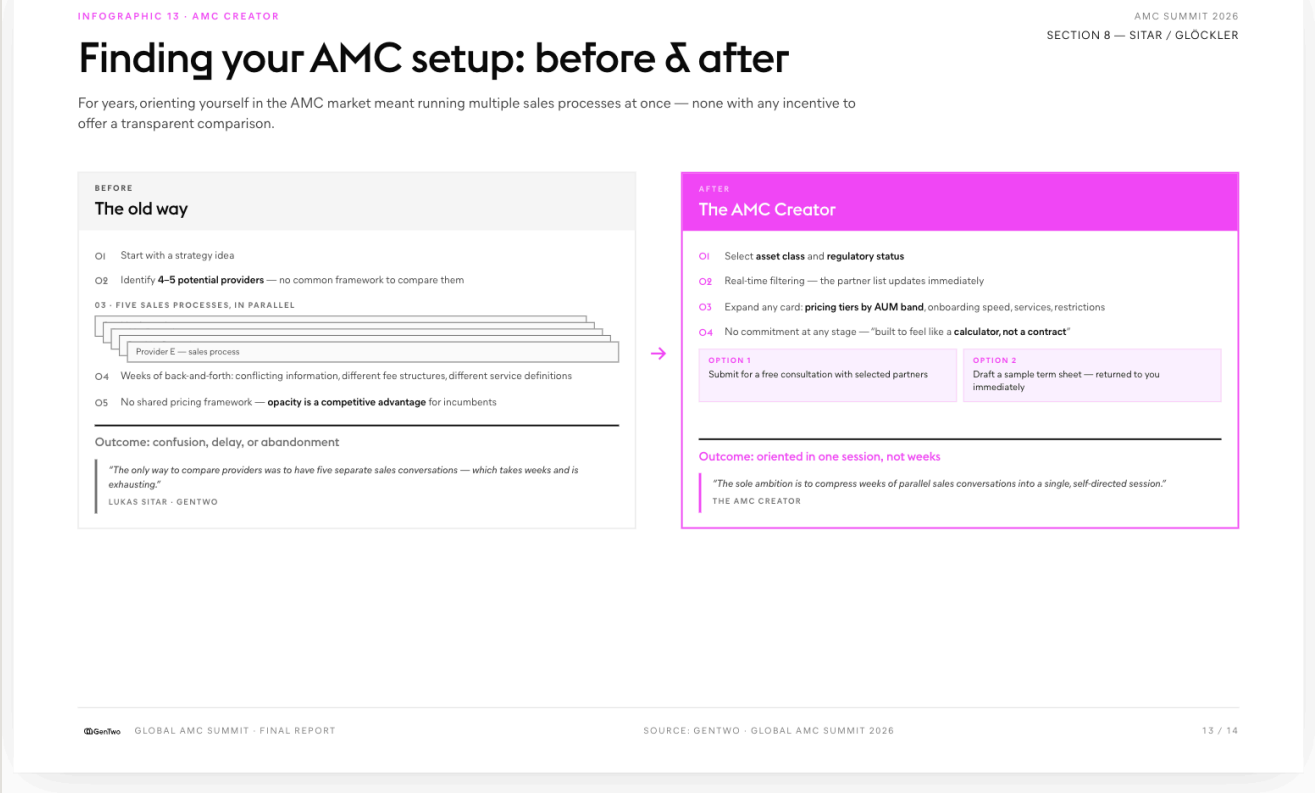
The Booking.com of AMCs

The reference point that reoriented the design came from the team's own experience. When you plan a trip without a fixed itinerary, you do not fill out a form — you explore. You adjust dates, toggle filters, watch options shift in real time. You are not committing to anything; you are learning what is possible. Skyscanner, Booking.com — the entire design logic of modern travel platforms is built around a user who has a clear intent but needs the tool to help them discover how to act on it.

That became the new model. The static questionnaire was replaced by a dynamic, filter-driven comparison tool in which selections update results in real time, parameters can be freely adjusted, and managers can move between options without feeling funnelled toward a predetermined outcome. Asset class, regulatory status, issuer domicile, fee structure — each filter narrows or expands the partner list immediately. Each partner card can be expanded to show pricing tiers across AUM bands, regulatory status, onboarding speed,

service details, and applicable restrictions. A second journey through the tool lets a manager draft a sample term sheet by specifying currency, fee structure, asset classes, strategy guidelines, and investment restrictions — and receive a draft document by return.

The design principle running through both journeys is explicit. "We built it deliberately to feel like a calculator rather than a contract," Sitar says. "You're running scenarios, testing assumptions." Nothing in the tool is binding. No commitment is implied by using it. The sole ambition is to compress weeks of parallel sales conversations into a single, self-directed session — and to let managers arrive at their first real provider conversation already oriented.



08·05

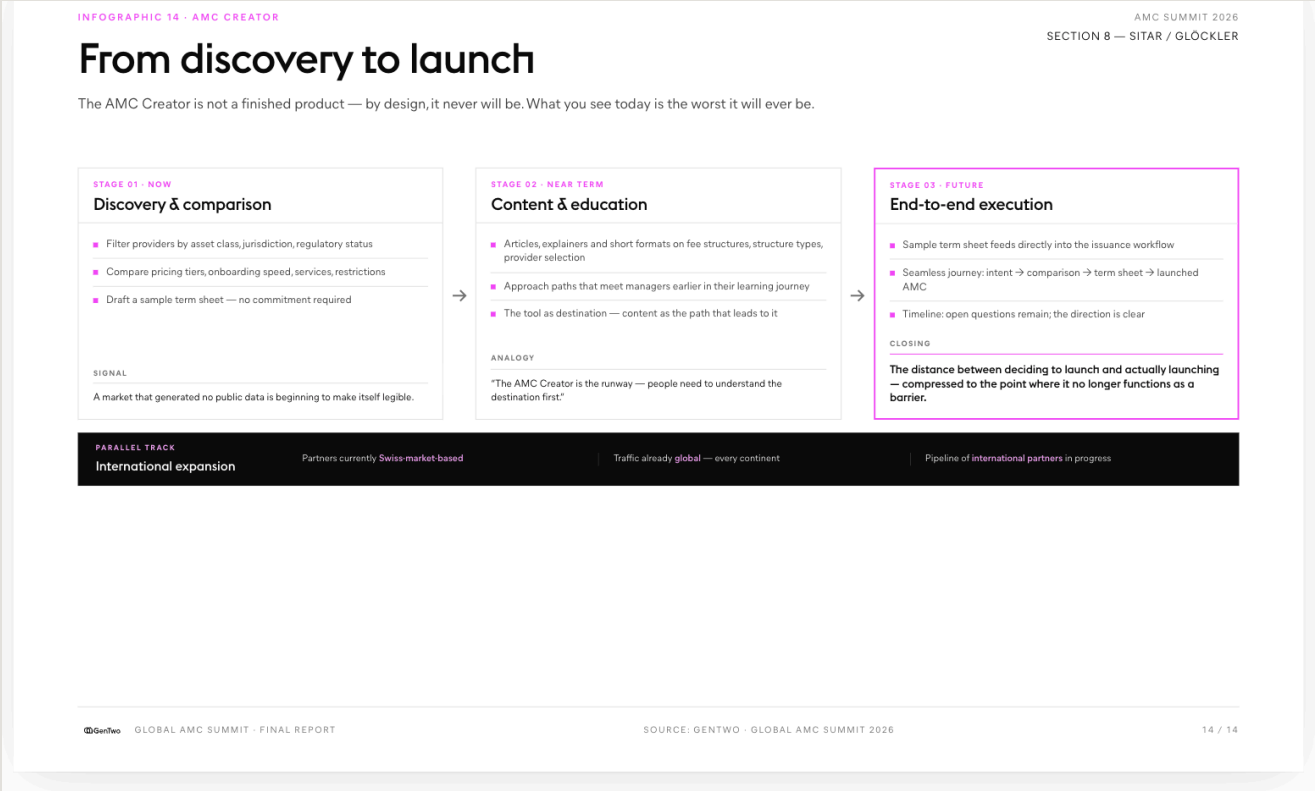
What gets built next

The AMC Creator's roadmap runs in three directions. The first is continuous refinement — the tool is treated as a living product, with weekly data review and an ongoing loop between user behavior and interface improvement. The second is an education layer: content articles, explainers, and short formats on fee structures, structure types, and provider selection criteria, designed to meet managers at an earlier stage of their learning process and point them toward the tool when they are ready. The travel analogy holds here too: the AMC Creator is the booking platform, but people need to understand the destination before they start searching.

The third direction is the most significant: extending the platform from discovery into execution. Today the tool helps a manager find the right setup and the right partner. The ambition is to push the drafted term sheet directly into the issuance workflow — a seamless journey from intent to launched AMC within a single

platform experience. Sitar is careful about the timeline: there are open questions and integration work between here and there. But the direction is clear. The endpoint is a market where the gap between deciding to launch and actually launching has been compressed to the point where it no longer functions as a barrier.

International expansion runs in parallel. The partners currently on the platform are primarily associated with the Swiss market, but the traffic data tells a different story: visitors from every continent are already using the tool. The AMC market's globalization — visible throughout this report in the demand from Latin America, Asia, and across Europe — is creating appetite for infrastructure that does not yet exist in local markets.



08·06

What it says about the market

The AMC Creator is one tool built by one team at one firm. But the problem it is trying to solve — and the approach it took to solving it — reflects something broader about where the AMC market currently stands. Pablo Conde noted in the SRP session that transparency is one of the market's defining unresolved tensions: a product measured in the trillions that generates almost no public data, operating in a value chain where opacity has historically served incumbent interests. The infrastructure layer is where that changes — not through regulation, but through tools that make comparison easier, pricing more legible, and the buy-side's orientation less dependent on the sell-side's willingness to be transparent.

The AMC Creator also illustrates something about the pace of infrastructure development in financial markets today. A service designer, working with AI-assisted coding tools, built and shipped a functional first version in a matter of weeks. The thousands of users who came through it in the first month generated enough behavioral data to redesign the product entirely. The current version reflects what users actually do

rather than what designers assumed they would do. That cycle — build, observe, redesign — is not typical of financial market infrastructure. It is becoming more typical, and the implications for how quickly gaps get closed are significant.

As Sitar puts it, the market still has a long way to go. The tool is not finished; by design, it never will be. But the direction is clear, and the speed of travel is accelerating. What you see today, as the session closes, is the worst it will ever be.

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